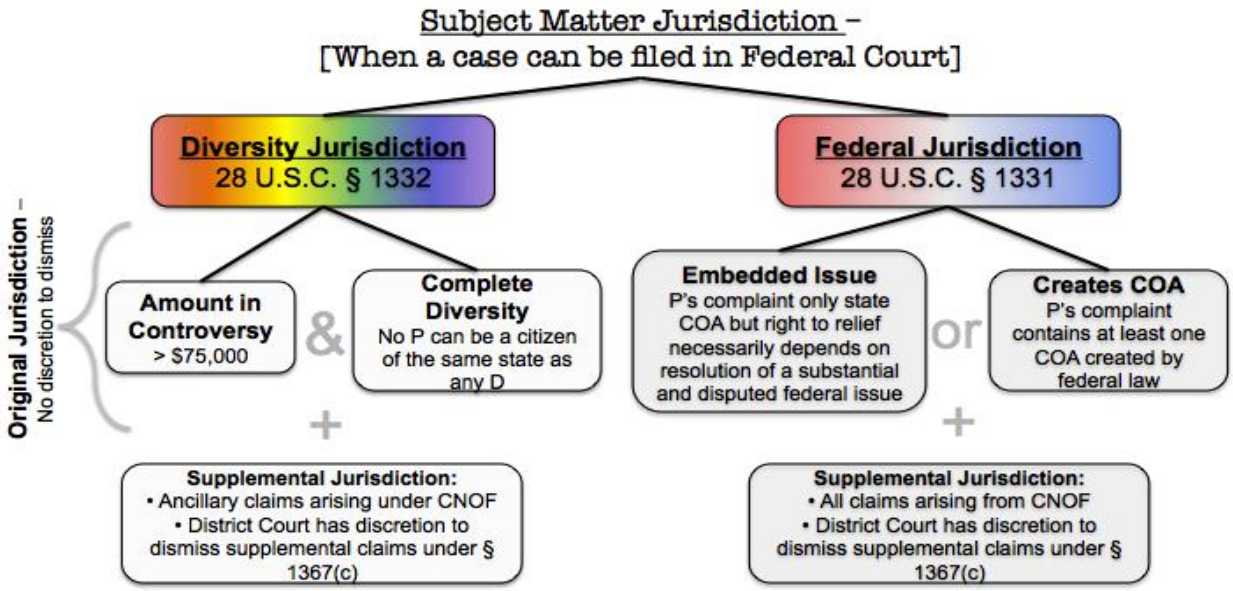
# Subject Matter Jurisdiction




- **Elements for Subject Matter Jurisdiction**
  - Diversity: Diversity of citizens AND Amount in controversy greater than $75,000
  - Federal Question: Federal ingredient OR Embedded federal issue
- General Jurisdiction—State court where all types of cases can be filed
- Limited Jurisdiction—federal court limited by:
  - *Statutes:* §1332 *(*Congress can change and will change all the time)
  - *The Constitution—U.S. Const., Article III*

## SMJ: Diversity—Diversity of Citizenship

**Rule: 28 U.S.C. § 1332 (a) – Diversity of Citizenship**

- The district courts shall have original jurisdiction of all civil actions where the matter in controversy exceeds the sum or value of $75,000, exclusive of interest and costs, **AND** is between
  - citizens of different States;
  - citizens of a State and citizens or subjects of a foreign state;
  - citizens of different States and in which citizens or subjects of a foreign state are additional parties; and
  - a foreign state. . . as plaintiff and citizens of a State or of different States.
- For the purposes of this section. . . an alien admitted to the United States for permanent residence shall be deemed a citizen of the State in which such alien is domiciled.

- Complete diversity "across the v" – no plaintiff can reside in the same state as any defendant
  - *The "alienage jurisdiction"*
    - Article III, Section 2 allowing federal jurisdiction over cases "between a State, or the Citizens thereof, and foreign States, Citizens or Subjects"
- **Individuals—Determining a party's state of domicile or "citizenship"**
  - Domicile: place where a person resides **AND** intends to remain indefinitely
    - Indef: plans are unsure if you plan to stay or leave
    - if have a departure date you are NOT there for an indefinitely

- How to *change* your state of domicile
  - Move to a different state **AND** Intend to remain there indefinitely
- Multiple Parties: no plaintiff can be a citizen of the same state as any defendant
- Filing a complaint:
  - the date the complaint is filed is when the diversity is established
  - If the parties are diverse on that date, the case is a proper diversity case, even if the parties were not diverse at the time of the events giving rise to the claim, or later in the litigation

- **Partnerships and Unions:** Wherever the partners reside, can be multiple places of residence
- **Corporations**

**Rule: 28 U.S.C. § 1332 – 'Diversity of Citizenship:**
(c)(1) "[A] corporation shall be deemed to be a citizen of any State by which it has been *incorporated* AND of the State where it has its *principal place of business*. . . ."

- PPB Test: where ever the corp headquarter are, the executive officers are and makes the decisions

***GORDON v. STEELE***—1974
- P is a student in Idaho; lived in PA when the malpractice occurred; files suit in PA federal ct
- ***Rule for SMJ diversity*** = Domicile test: Residence + intent to remain indefinitely

## SMJ: Diversity—Amount in Controversy (AIC)

- Claims must be more than $75,000 (Congress decides the AIC)
- **Rule**: The amount has been set "not so high as to convert the Federal courts into courts of big business or so low as to fritter away their time in the trial of petty controversies."

***DIEFENTHAL v. C.A.B.***
- Coupled wanted to sit in smoking area on the plane
- AIC was $10k at the time of this case; No way the cost of the ticket was near $10k

***Rule:*** Look at the value of the contract – it is unlikely you will be able to recover $10k
- **Subjective**: Need to make a good faith claim they are entitled to damages over the AIC
- **Objective**: Show to a legal certainty the claim is worth less than the jurisdictional amount
  - No way you could recover more than the jurisdictional amount

- ***Aggregating Claims to Meet the Amount Requirement***
  - Single plaintiff *can* aggregate claims against single defendant to get to $75k, even if the claims are unrelated
  - Single plaintiff *cannot* aggregate claims against multiple defendants to get to $75k
  - Typically, multiple plaintiffs *cannot* aggregate claims against the same defendant or multiple defendants.
    - ***Exception:*** If *one* plaintiff satisfies the AIC, and the other plaintiffs' claims are related, all plaintiffs can sue together, even if some of the plaintiffs' claims do not satisfy the AIC requirement (covered by supplemental jurisdiction)
      - Not adding together, the other Ps are piggy backing on the P with the AIC
- ***Consequential v. Punitive Damages***
  - Consequential damages and punitive damages can be added together to meet the AIC
  - Need to be a type of claim that supports punitive damages
    - Intent tort will support a claim for punitive damages - breach of k is not supported

## SMJ: Federal Question—Arising Under

- **Two Means for Establishing Federal Question Jurisdiction**
  - Federal courts have jurisdiction to hear only those cases in which a well-pleaded complaint establishes either that
    - Federal ingredient OR Embedded federal issue in state claim

***Rule: U.S. Const., Article III*** Aka "Arising under"
- Section 1: The judicial Power of the United States, shall be vested in one supreme Court, and in such inferior Courts as the Congress may from time to time ordain and establish.
- Section 2: The judicial power shall extend to all cases, in law and equity, ***arising under*** the Constitution, the Laws of the United States, Treaties made. . . under their Authority. . . .

- **What does the constitution allow?** *Osborn rule:* Federal ingredient: If there is a fed issue in the case

***28 U.S.C. § 1331 Federal Question Jurisdiction***
The district courts shall have original jurisdiction of all civil actions arising under the Constitution, laws, or treaties of the United States. (*much narrower than the federal ingredient/ US Constitution Article III)*

***Mottley Case***
- The Railroad wont honor the settlement agreement where the Mottley's receive free railroad passes for the rest of their life
- *Well-Pleaded Complaint Rule:* [Under § 1331] a suit *arises under* the Constitution and laws of the United States *only* when the ***plaintiff's statement of his own cause of action*** shows that it is based upon those laws or that Constitution. It *is not enough* that the plaintiff alleges some *anticipated defense* to his cause of action, and asserts that the defense is invalidated by some provision of the Constitution of the United States.
  - This case does not overrule Osborn, interprets article 3 section 2 more broadly
  - Motley interpreted §1331 more narrowly
- **Holmes "Creation" Test for Determining Federal Question Jurisdiction**
  - Does federal law "create" the cause of action and provide plaintiff with a remedy?
    - If yes, federal question jurisdiction exists.
  - If state law creates the cause of action and provides plaintiff with a remedy, in most cases the case does not "arise under" federal law; hence no federal question jurisdiction exists.
  - Interprets Mottley's well pleaded complaint rule more narrowly
- **Exception to the Creation Test**

**Declaratory Judgment Act 28 U.S.C. § 2201**
In a case of *actual controversy within its jurisdiction*. . . Any court of the United States, upon filing of an appropriate pleading, may declare the rights and other legal relations of any interested party seeking such declaration, whether or not further relief is sought. Any such declaration shall have the force and effect of a final judgment. . .

  - If you feel a lawsuit is eminent you can take action and sue before you are sued
    - Has to be well documented that you will be sued (Ex: cease and desist letters)
    - Allows you (D) to bring these cases in federal court, as long as the P could have brought the case in the first place
  - Explanation: I see I am going to be sued, so I am going to ask the court to declare that the other party does not have a case
    - Can only bring in federal court, where the cause of action is created by federal law
    - Who is really seeking relief and are they seeking relief under federal or state law?

## SMJ: Federal Question—Embedded Federal Issue

- **State law claim**
  - Element has a federal issue
  - Federal courts will take the case if the case is important to the federal system as a whole or disrupt the balance of the state v. federal

***Gunn v. Minton (2013)***
*Federal issue necessarily raised*: Whether P would have prevailed in the federal patent infringement suit, if his attorney had argued "experimental use" under federal patent law.
*Holding*: Federal question jurisdiction DOES NOT exist.
- First case: patent infringement (exclusive federal jurisdiction); filed in federal court
- Second Case: Minton sued attorneys for malpractice in TEXCEN
  - D did not use "experimental use exception" in the SMJ motion
  - SCOUS reversed the TX supreme court decision
    - Did the exclusive federal jurisdiction exist in the malpractice suit? SCOUS →no

- **Two-part test for determining whether federal jdx exists under § 1331, after Gunn v Minton:**
  - (1) Does federal law create plaintiff's cause of action and provide a remedy?
    - If yes, then federal question jurisdiction exists under § 1331.
    - If no, then proceed to question #2.
  - (2) Do the elements of plaintiff's state law claim require the court to interpret or apply a federal law?
    - If the answer to #2 is yes, federal question jurisdiction exists only when the federal issue is:
      - (1) necessarily raised;
      - (2) actually disputed;
      - (3) substantial (i.e., important to federal system as a whole); **and**
      - (4) capable of resolution without disrupting the federal-state balance approved by Congress (i.e., would creating federal J in these types of cases cause too many new cases to be filed in or removed to federal court).
- ***Smith Exception***
  - If there is an embedded federal constitution question it will be important to the federal system
  - Significant enough to create federal jurisdiction?
  - Because the constitutionality of the case
  - Is it important to the system as a whole?

## SMJ: Federal Question – Removal

***28 U.S.C. § 1441(a) – Removal Jurisdiction***
Except as otherwise expressly provided by Act of Congress, any civil action brought in a State court of which the district courts of the US have *original jurisdiction*, may be *removed* by the defendant(s), to the district court of the US for the district . . . embracing the place where such action is pending. [ ]

- If the P could have filed it in federal court (but filed in state court), the D can remove the case to federal court
  - ***Exception***: Diversity cases
    - If you are sued at home, you cannot remove to federal court, if you are **NOT** sued at home you can remove to federal
    - Federal court wants to protect citizens of different jurisdiction and not discriminate against out of state citizens

- Must file removal within 30 days
- If the removal is improper it will go back to state court
- Add a federal claim
    - If something changes later in litigation and makes federal jurisdiction possible to exist, the D has 30 days to remove to federal court
    - Once you add a federal cause of action to the complaint, when you amend or etc, then the D can remove to federal court
        - The D will then have 30 days to remove
- Dismiss a D that prohibits complete diversity
    - <u>One year limit</u> after the original complaint for removal in diversity cases if a D is dismissed
    - <u>Over 1 year</u> after the original complaint is filed, then the case must stay in federal court
- Remand
    - Only applies if it applies to technical defects in the removal process
    - Will have only 30 days if it is for subject matter jurisdictions
    - the federal court lacks jurisdiction—everything that the court does is null and void
- ***Well Pleaded Complaint – Counter-claim (D sues P back)***
    - If P sues D asserting only state law claims & D decides to counter claim with a federal statute
    - Can't move to federal court, because the P did not allege the federal claim in their complaint
    - Exception: patent cases, copyright, plant variety
        - §1338 exclusive jurisdiction
        - only patent, plant variety, and copyright are federal question and counter claims can be removed, other IP issues cannot
        - Counter claims for federal patent cases, if you assert a federal patent case you can remove the entire case to federal case

**28 U.S.C. § 1441(b)(2) – *Removal Jurisdiction (limitation in diversity cases)***
A civil action otherwise removable solely on the basis of [*diversity* jurisdiction] may *not* be removed if *any* of the parties . . . properly joined and served as defendants is a *citizen of the State in which such action is brought*.

***28 U.S.C. § 1446(a) – Procedure for Removal***
A defendant or defendants desiring to remove any civil action from a State court shall <u>file in the district court of the US for the district and division within which such action is pending a *notice of removal* signed pursuant to Rule 11</u> . . . and containing a short and plain statement of the grounds for removal. . . .

***28 U.S.C. § 1446(b) – Procedure for Removal (Timing)***
- (1)The notice of removal . . . shall be filed within *thirty days* after the receipt by the defendant. . . of a copy of the initial pleading setting forth the claim for relief . . . .
- (2)(A) [*A]ll* defendants who have been properly joined and served must join in or consent to the removal of the action.
    - *All defendants must be served and agree to remove to federal court, must be unanimous*
- (3)[I]f the case stated by the initial pleading is not removable, a notice of removal may be filed within *thirty days* after receipt by the defendant . . of a copy of an *amended pleading, motion, order or other paper from which it may be first ascertained that the case is one which is or has become removable*.

***28 U.S.C. § 1446(c)(1) – Procedure for Removal (Timing in Diversity Cases)***
A [diversity] case may not be removed under subsection (b)(3) . . . more than 1 year after commencement of the action, unless the district court finds that the plaintiff has acted in bad faith in order to prevent a defendant from removing the action

***28 U.S.C. § 1447(c) – Procedure for Remand***

- A motion to remand the case on the basis of any defect *other than* lack of subject matter jurisdiction must be made within *30 days* after the filing of the notice of removal. . . .
- If at *any time* before final judgment it appears that the district court lacks subject matter jurisdiction, the case shall be remanded. An order remanding the case *may* require payment of *just costs and any actual expenses, including attorney fees*, incurred as a result of the removal

## SMJ: Supplemental Jurisdiction

**U.S. Const., Article III**
Section 2: The judicial Power shall extend to all Cases, in Law and Equity, arising under the Constitution, the Laws of the United States, Treaties made. . . under their Authority. . . .

- **Pendent claims/parties: (by Plaintiff)**

**28 U.S.C. § 1367(a) Supplemental Jurisdiction General Rule in Federal Question Cases**
[*Except in diversity cases and subject to the court's discretion*], in any civil action of which the district courts have original jurisdiction, the district courts shall have *supplemental jurisdiction* over **all other claims** that are so related to claims in the action within such original jurisdiction that they form part of the ***same case or controversy*** under Article III of the US Constitution Such supplemental jurisdiction shall include claims that involve the joinder or intervention of additional parties

  - Additional claims asserted by (or additional parties sued by) Plaintiff in her complaint
    - Only in federal question cases
    - Test: does the state law claim CNOF (common nucleus of operative facts) as the federal claim

- **Ancillary claims/parties: (by Defendant)**

**28 U.S.C. § 1367(b) Supplemental Jurisdiction Limitations in Diversity Cases**
In any [diversity] action . . ., the district courts shall not have supplemental jurisdiction . . . over *claims by plaintiffs* against persons made parties under Rule 14, 19, 20, or 24 of the FRCP, or over claims by persons proposed to be joined as plaintiffs under Rule 19. . ., or seeking to intervene as plaintiffs under Rule 24. . . , when exercising supplemental jurisdiction over such claims would be inconsistent with the jurisdictional requirements of § 1332

  - Additional claims asserted by (or additional parties sued by) Defendant, after plaintiff files her complaint (usually by counterclaim, cross-claim, or third party complaint).
    - Diversity cases only
    - 3 types of claims
      - Cross Claim [D1 wants to sue D2 (cross claim)]
        - P sues D1 and D2 (P has diversity against all Ds)
          - But the D are not diverse
          - No original jurisdiction
          - Supplemental jurisdiction
      - Counter Claim (D sues P)
        - D claim arises from CNOF but the AIC is not satisfied – no original jurisdiction
        - Supplemental jurisdiction because it is CNOF
      - Third party (impleader) claim
        - D brings in a new party to the case
        - If I am liable to the P you are liable to me

***United Mine Workers v. Gibbs***

- State law claim unlawful boycott, conspiracy, interference with contract (Supp jdx: pendant claims)
- CNOF: yes because it is all from the same incident
- The federal court retained jurisdiction after the federal law claims were dismissed, because it would be more efficient to keep the case because the trial had already happened and would not make sense to remand the case to state court, where they would have to start all over
- **Rule**: Pendent jurisdiction when the federal court has subject matter jurisdiction over the federal claim and the state claim are CNOF; judge's discretion

**28 U.S.C. § 1367(c) Supplemental Jurisdiction – Factors re dismissal of claims**

The district courts may decline to exercise supplemental jurisdiction over a claim under subsection (a) if –

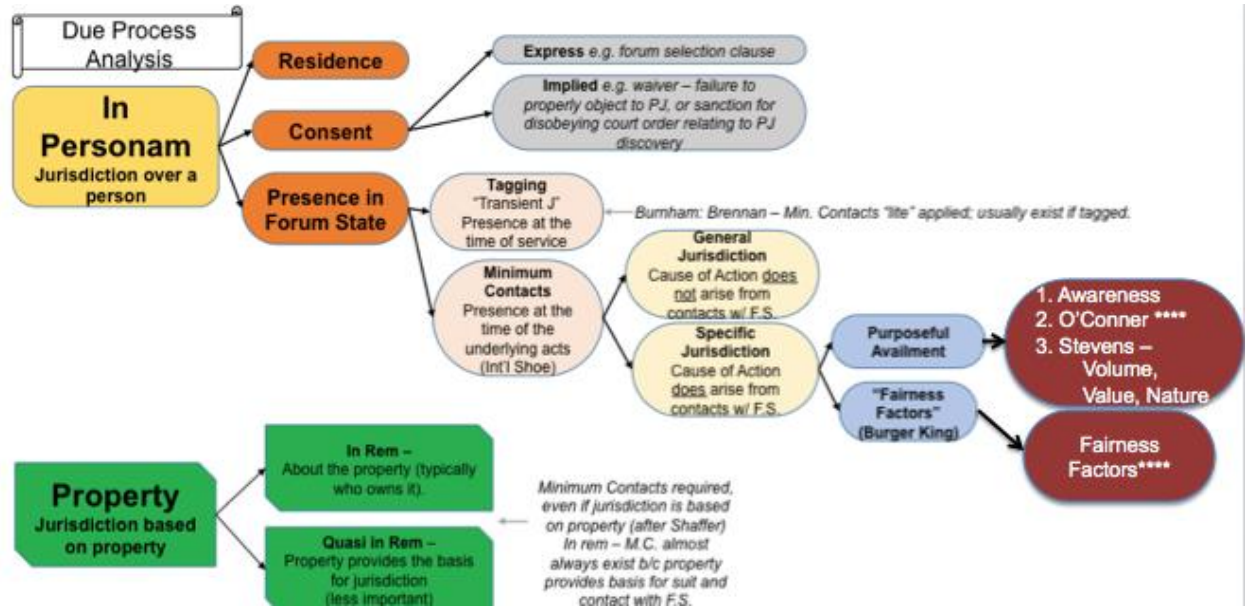
- the claim raises a *novel or complex issue of State law*,
- dismiss to let the state deal with this claim
- the claim *substantially predominates* over the claim or claims over which the district court has original jurisdiction,
- the district court has *dismissed* all claims over which it has *original jurisdiction*, OR
- in *exceptional circumstances*, there are other *compelling* reasons for declining jurisdiction.

***Owens Equipment v. Kroger***

- Kroger is P and sues OPPD for wrongful death (Basis for federal jdx: diversity claim)
- OPPD then filed a 3rd party/indemnity claim Owens
  - No original jurisdiction between OPPD and Owen
  - Supplementary jurisdiction (CONF—Ancillary claim)
- OPPD wins on summary judgement motion and is out of the case
- Kroger then sues Owens (Pendant claim)
  - The court has no jurisdiction to hear this claim
- **Rule**: A third party claim does not affect he original case and original jurisdiction unless the P wants to sue the 3rd party; then it has to meet subject matter jurisdiction elements

- **Exxon Rule:** If one p meets AIC and all other Ps meet CNOF then there is supplemental jurisdiction and they can join the case
  - Aggregation of claims when you have multiple P joined together
- **Supplemental Jurisdiction A Step-by-Step Approach**
  - Is the exercise of SJ Constitutional?
    - Same case or controversy/common nucleus of operative facts (CNOF)
  - Is the exercise of SJ authorized by statute?
    - <u>Federal Question Cases</u>: extends to limits of Constitution; same CNOF (§ 1367(a));
    - <u>Diversity Cases</u>: usually applies to ancillary claims only (not claims filed by plaintiff); but, under Exxon, general rule is that only one plaintiff (per defendant) must satisfy the amount in controversy requirement. (§1367 (b))
  - If the answer to #1 and #2 is yes, then court has supplemental jurisdiction over the claim. Question is whether court wants to keep jurisdiction over the claim or dismiss it.
    - §1367 (c) - list of factors

# Personal Jurisdiction

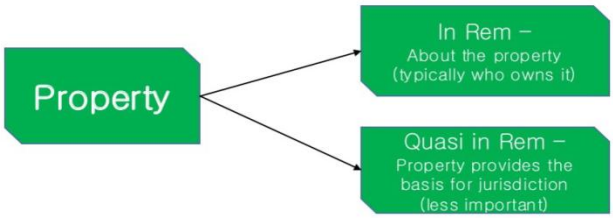



- Personal jurisdiction – where (in what state) can the case be filed
  - Look at it from the D's perspective, it doesn't matter if the P has no ties to the forum state
  - Forum state: where the lawsuit is filed

- Issues: if the P was able to file a lawsuit wherever they wanted
  - Due process
  - Time and money cost to D
  - Prejudice toward the D

- Questions to ask when filing a complaint:
  - Am I going to file in state or federal court?
  - Will the D remove to federal court?
  - What state can I file in?

## PJ: Jurisdiction Based on Property




- *In Rem* Jurisdiction – property provides the basis for jurisdiction, and the underlying dispute is about the property itself

- *Quasi In Rem* Jurisdiction – property provides the basis for jurisdiction, but the underlying dispute is not about the property

  - If jurisdiction is *in rem* OR *quasi in rem,* the maximum amount the plaintiff can receive in the underlying lawsuit is limited to the value of the property. Any judgment in the underlying lawsuit can be enforced only in the state where the property is located.
  - The max value of the suit is the value of the property—the court's jurisdiction is limited to value of the property (Ex: if the property is $10k the amount recovered cannot exceed $10k)

- States considered sovereign territory and had control over people or property within their borders
  - A state has no control over anyone or property outside of their borders
  - Tagging: if you are not a citizen of a state, but found to be in that state and severed with a complaint within that state you are "tagged"

**Pennoyer v. Neff**
- Mitchell sues Neff; Neff does not show up; Mitchell gets a default judgement against Neff
- Mitchell puts the land up for auction to pay for the money loss; Mitchell then purchase the land and sells it to Pennoyer
- Neff returns to find Pennoyer on his land**;** Neff sues Pennoyer**;** Neff wants his land back

**Holding**: If the property is the basis for the jdx the court does not have the property until it is attached
- The property was not part of the original suit, attached at judgement
- The property needs to be attached before the judgement

## PJ: Jurisdiction *in Personam*

- **Domicile**: a person (or corporation) is always subject to PJ in the state in which s/he resides
- **Consent**: Expressed and Implied
- **Presence**: a person is subject to PJ in a state where s/he is physically present
  - "**Tagging**" – under modern case law there are some limits to this form of PJ
  - **Minimum Contacts**: (IRAC) Dealing w/in a state for the reason why you are being sued
    - **General**: Cause of action does **not** arise from contacts with the forum state
    - **Specific** (and)
      - **Purposeful Availment** (IRACs): No purposeful availment = no PJ
      - **Fairness Factors** (4 IRACs)
        - Forum state interest (state interest)
        - Inconvenience to defendant (Defendant interest)
        - Efficacy (witnesses, and evidence)
        - Plaintiff's Connection to state (Plaintiff's interest)
        - *Sovereignty - States' interest in furthering "fundamental substantive social policies" (i.e. states' (or foreign countries') interest in having their residents subjected to their own laws, rather than those of the FS
        - *Choice of Law Issues - Most relevant to things related to people not from the US (foreign entities)
        - *Fundamental social policies are going to be the laws of the defendant's states (this is not used very much)

## PJ: *in Personam*—Jurisdiction Based on Ties to the Forum State

- **Full Faith and Credit Clause** (U.S. Constitution, Article IV, Section 1)
  - "Full faith and credit shall be given in each State to the public Acts, records and judicial proceedings of every other State."
- **Fourteenth Amendment, Section 1:** No state shall "deprive any person of life, liberty, or property, without *due process of law*. . . ."

"[P]roceedings in a court of justice to determine the personal rights and obligations of parties over whom that court has no jurisdiction do not constitute due process of law," in violation of the 14th Amendment. *Pennoyer*

## PJ: *in Personam*– Consent to Personal Jurisdiction

- **Implied Consent:**
  - **(1) Waiver (common)** Challenging personal JDX
    - If a D fails to object to personal jurisdiction in the answer or in a motion to dismiss in fed ct, he waives his objection to PJ and is deemed to have consented to it.
    - In federal court: Must file motion to dismiss OR Affirmative defense
- **(2) Sanctions**: A D can also be "deemed" to have consented to PJ as a sanction for misconduct,

typically related to providing discovery on personal jurisdiction.

- **(3) Express Consent:** Agree to be sue somewhere
  - Express contractual provisions by which the parties consent to PJ in a given forum are typically enforced, unless they are "fundamentally unfair."
    - D can also expressly consent by choosing not to contest PJ

## PJ: *in Personam*–Presence–Tagging

- **Significance of Tagging after *Burnham***
  - (1) If Defendant is "tagged" – i.e., personally served with a copy of the summons and complaint - in the forum state, the act of tagging strongly tends to show that the defendant is subject to PJ in that state.
  - (2) Courts apply a minimum contacts "light" analysis when D is tagged in the forum state. The longer D was in the forum state and the more benefits s/he obtained (or could have obtained) while in the state (at the time of tagging), the more likely it is that D will be subject to personal jurisdiction there.
  - (3) If D is tagged in the forum state, D may be subject to *general* PJ in that state. In other words, if D is tagged, D may be sued in the forum state for causes of action that do *not* arise from D's contacts in the state (which may be minimal).

***Burnham v. Superior Court***

- Mr. Burnham is served with divorce papers when he is on vacation in CA visiting his children
- Shaffer rule: all assertion of state court jdx must be evaluated according to the standards set forth in international shoe and its progeny
- Mr. Burnham is subject to PJ in CA (Judges cannot agree on why though)
  - Judge Scalia Ruling: Tagging rule; D was present in the FS is enough (traditional & fair play
    - 1868 is important because of the 14th amendment and due process
      - What did this mean in 1868? This is tradition and is good enough for Scalia
  - Brennan's Ruling: Because D enjoyed these factors, D has minimum contacts within the state
    - Minimum contact: Travel, Economy, Health and safety

## PJ: *in Personam*– Presence– Minimum Contacts

- **Rule: The Minimum Contacts Standard for PJ**
  - "[D]ue process requires only that in order to subject a defendant to a judgment in personam, if he be *not present* within the territory of the forum, he have certain *minimum contacts* with it such that the maintenance of the suit does not offend '*traditional notions of fair play and substantial justice.'* " *International Shoe*, p. 165.
- **Specific Personal Jurisdiction – *International Shoe***
  - **Rule:** Can be sued in state where tort was committed
  - When the defendant's activities in the forum state "give rise to the liabilities sued on," even "single or occasional acts" may be sufficient to confer personal jurisdiction over the defendant, depending on the "nature and quality" of the acts and the "circumstances of their commission." p.165.

***International Shoe Co. v. Washington***

- Specific JDX **:** because they are being sued for something they did not do in the state of WA
  - state of WA insurance fund
- Benefits International Shoes gets from state of WA – Protection of the laws of the state
  - International Shoe had 13 salesmen in the state, conducted sales in the state, rented a space to showcase their product (Not enough for general JDX but enough for specific JDX)

## PJ: *in Personam*– Presence– Minimum Contacts– General Personal JDX

- **General Personal Jurisdiction – International Shoe**
  - "[T]here have been instances in which the *continuous corporate operations* within a state were thought *so substantial* and of such a nature as to justify suit against it on causes of action arising from dealings *entirely distinct* from those activities." After *Daimler* (2014), general PJ rarely exists over a corporation outside its *home state*.
  - If you have a lot of contacts with a state you can be sued in the forum state for anything including your home state

***Daimler AG v. Bauman (2014)* – General Personal JDX**

- A corporation is subject to general personal jurisdiction when its "affiliations with the state are so continuous and systematic as to render it essentially at home in the forum state." "With respect to a corporation, the place of incorporation and PPB are paradigm bases for general jurisdiction." [pages 261-62]
- Although the COA did not arise out of FS (CA) they would have PJ because could be considered at home there

***Shaffer v. Heitner***

*Quasi In Rem* Jurisdiction Post- *International Shoe*

- P = Heitner
- D = Shaffer
- D = Greyhound (Inc. Deleware; PPB Arizon)
- D = Greyhound Directors (Directors reside in different places)
- Sues in Delaware
  - No connection to underlying acts in Delaware
  - Shares of stock goes back to property
    - Stock provides basis for JDX
      - Greyhound is INC in Delaware
      - The location of the shares are the location of the company – per Delaware state law
    - Quasi In Rem Case
- Suit for corporate mismanagement

- **What's left of personal jurisdiction based on property after *Shaffer*?**
  - *In rem* jurisdiction still exists, although we analyze it under a minimum contacts standard. Owning property in the forum state is a type of purposeful availment. The Court in *Shaffer* noted that, in an *in rem* case, minimum contacts are almost always present.
  - *Quasi in rem* jurisdiction is very rarely used after *Shaffer*, although some courts have held that it still exists as an independent basis for jurisdiction if the property at issue is real property (e.g, land or real estate), rather than movable or intangible property like the stock certificates in *Shaffer*.
  - Even if jurisdiction is not *in rem* or *quasi in rem*, defendant's ownership of property in the state can be evidence that s/he has minimum contacts in that state.

## PJ: *in Personam*– Presence– Min. Contacts– Specific PJ – Long Arm Statute

- **Burger King – Florida Long Arm Statute**
  - PJ extends to "any person, whether or not a citizen or resident of the State, who breaches a contract in the State by failing to perform acts that the contract requires to be performed there." (p. 202)
- **Personal Jurisdiction in Federal Court – Rule 4(k)**

- (1) Serving a summons or filing a waiver of service establishes PJ over a defendant:
  - (A) who is subject to the jurisdiction of a court of general jurisdiction in the state where the district court is located, or . . .
  - (C) when authorized by a federal statute.
- **this is the reason why the long arm statute is the same in state or federal court—uniformity

- **Constitutional Basis for Personal Jurisdiction Requirement in Federal Court**
  - Fifth Amendment:
    - No person shall be…deprived of life, liberty, or property, without due process of law
      - [The Fifth Amendment applies to the federal government; the Fourteenth Amendment applies to the states.]

**California Long Arm Statute – CCP § 410.10:** "A court of this state may exercise jurisdiction on any basis not inconsistent with the Constitution of this state or of the United States."

**Uniform Interstate and International Procedure Act § 1.03 (Model Long Arm Statute)** *other states

- (a) A court may exercise PJ over a person, who acts directly or by an agent, as to a [cause of action] arising from the person's
  - (1) **transacting any business** in the state;
  - (2) **contracting to supply services or things** in this state;
  - (3) **causing tortious injury** by an act or omission in this state;
  - (4) **causing tortious injury** in this state by an act or omission outside this state if he regularly does or solicits business, or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered, in this state; [or]
  - (5) having an interest in, using or possessing **real property** in this state; or
  - (6) **contracting to insure any person, property, or risk located within this state** at the time of contracting.
- (b) When jurisdiction over a person is based solely on this section, only a [cause of action] arising from acts enumerated in this section may be asserted against him.

***MCGEE v. INTERNATIONAL LIFE INSURANCE CO***
**Rule:** ***Long Arm Statute***

- The state comes up with to specific when courts of that state has JDX over out of state residence
- States enacts to give its residence
- *Subject Matter JDX:* Statue: §1331 or §1332—Focused on statute because it is more narrower
  - Constitutional Limit: Article III Section 2
- *Personal JDX has to be authorized by statute AND constitution*
  - Whatever is under the constitution will satisfy long arm JDX

## PJ: Presence– Min. Contacts– Specific PJ– Purposeful Availment

**Purposeful Availament (Complete definition)**
"[M]inimum contacts must have a basis in some act by which the D purposefully avails itself of the privilege of conducting activities w/in the FS, thus invoking the benefits and protections of its laws." (Burger King.) "Jurisdiction is proper where the contacts proximately result from actions by the D himself that create a 'substantial connection' with the FS." (Asahi.) "[T]he mere 'unilateral activity of those who claim some relationship with a nonresident D cannot satisfy the requirement of contact with the forum state.'" (Volkswagen.)

- **Analyzing Specific Personal Jurisdiction over Non-Resident Defendants (Minimum Contacts)**

- Is jurisdiction authorized by the state's **Long Arm Statute**? [If no, D is not subject to PJ]
- If yes, does the assertion of jurisdiction comply with the **Due Process Clause**?
  - 1. Does the cause of action "**arise from**" D's contacts with the forum state?
    - Yes = *specific* PJ may apply
    - No = only *general* PJ may exist
  - 2. Has D "**purposefully availed**" herself of the privileges of conducting business in the forum state?
    - D must **deliberately engage in activities in the FS** or create a "**substantial connection**" with the forum state (contacts can't result from "unilateral activity" of someone else); in stream of commerce cases only, *Asahi* analysis applies.
  - 3. Would the exercise of jurisdiction be "**fair" and "reasonable**"?
    - BK Fairness Factors; FF rarely change the outcome of the PJ analysis, but may defeat PJ if purposeful availment is very weak and FF strongly weigh against the FS.

- **Stream of Commerce Case** (6 IRACs Not stream of commerce case you will only have 1 IRAC)
  - Almost always a products liability case
  - Manufacture makes a product and sells to someone who sells to someone eventually it ends up with the final consumer
  - the manufacture be sued in the state where the produce was purchased
- **Analyzing "Purposeful Availment" in Stream of Commerce Cases (Due Process Analysis)**
  - Defendant *aware* that its products are being purchased and used in the forum state—Bare min
    - [If not, then there is no purposeful availment and hence no PJ.]
    - Need a deliberate act by the D directed at the forum state
  - How many/much of D's product is being sold in the FS? What is the nature of the product?
  - If Defendant is aware of sales, do any *additional factors* support a finding of purposeful availment? [If so, then PA exists.]
    - Did D design the product for market in the forum State?
    - Does D advertise in the forum State?
    - Has D established channels for providing advice to customers in the forum State?
    - Is D marketing its product through a distributor who has agreed to serve as a sales agent in the forum State?
- **O'Conor Factors:** Examples of "additional conduct" necessary to establish D's purposeful availment in stream of commerce cases (Will need 4 IRACs) **(or)**
  - Designing product for market in the forum State;
  - Advertising in the forum State;
  - Establishing channels for providing advice to customers in the forum State;
  - Marketing product through distributor who has agreed to serve as a sales agent in forum state
- **Zippo Sliding Scale** (Categories of websites)
  - ***Passive website***: Online billboard but no way to communicate with the people who created the website; *Not enough for purposeful availment*
  - ***Interactive websites***: Between passive and active; Facts intensive
    - Can communicate with manufactures but not to the extent as active
  - ***Active websites***: Example: Amazon

**Asahi Metal Industry v. Superior Court --*Personal Jurisdiction in the Stream of Commerce***
Holding: Need to show awareness of sales in forum state (O'Cornor Factors)

***World Wide Volkswagen Corp. v. Woodson*** **Purposeful Availment**

- Foreseeability of being hailed into court in the forum state
- When is it foreseeable → The foreseeability that is critical to due process analysis is not the mere likelihood that a product will find its way into the forum state. Rather, it is that the defendant's conduct and connection with the forum state are such that he should reasonably anticipate being haled into court there.
- The mere unilateral activity of those who claim some relationship with a nonresident D cannot satisfy the requirement of contact with the foreign
- They did not know the car would go to Oklahoma

## PJ: Presence– Min. Contacts– Specific PJ–Fairness Factors

- **Burger King – Fairness Factors**
  - Burden on the defendant (particularly foreign defendants);
  - Forum state's interest in hearing the dispute;
  - Plaintiff's interest in obtaining relief in the FS;
  - Efficiency (location of evidence, witnesses)
  - States' interest in furthering "fundamental substantive social policies" (*i.e.*, states' (or foreign countries') interest in having their residents subjected to their own laws, rather than those of the forum state)

## PJ: *in Personam*—Waiving Personal Jurisdiction in Federal Court

- **Objecting to PJ in Federal Court - Rule 12(b)(2)** Every defense to a claim for relief in any pleading must be asserted in the responsive pleading if one is required [Answer]. But a party may assert the following defenses by motion: *Rule 12(b)(2) lack of personal jurisdiction. . . .*
- **Waiver of PJ Objection in Federal Court Rule 12(h)(1)**
  - A party waives any defense listed in Rule 12(b)(2)-(5) [including PJ – 12b2] by:
  - (B) failing to *either*: make it by motion under this rule; **OR** include it in a responsive pleading or in an amendment allowed by Rule 15(a)(1) as a matter of course.
- **Procedures for Challenging (objecting) to Personal Jurisdiction in <u>Federal</u> Court**
  - Rule: object to PJ is to make a special appearance to show your reservations about PJ
  - <u>Special Appearance</u>: Traditional method, general term that refers to anything other than defaulting; If they appear in any other matter than that is their response to the complaint and the D cannot object to personal JDX
    - Ways to make special appearance
      - **In a *motion to dismiss*** (demurrer in state court) filed at the beginning of the lawsuit [Rule 12b2]; Filed at the outset of the lawsuit
      - ***affirmative defense***, included in an answer to plaintiff's complaint
        - Answered but wants to go through the discovery process or litigate the case instead of filing the motion to dismiss right away
      - ***appeal***, but *only* if you preserved your objection by raising it either in your answer or in a motion to dismiss, once the case is over and you preserved your objections
  - <u>Collaterally</u> –*Case example: Pennoyer v. Neff*
    - attacks the lawsuit after the judgment
    - Downside for collateral attack → if you are wrong about personal JDX, it is too late to argue anything else, need to be absolute certain this is the main issue because you cannot argue the merits of the case
    - Save your objection by not showing up and then wait until the judgement is enforced and you object at that point

## Service of Process

- **Method of service of process statutes**
  - Rule 4 in FRCP**:** Can rely on all methods in Rule 4 or in state where the D is served
  - State methods of service of process
  - LA Notes
    - Focus is sender not recipient. It sender tried and the person didn't receive it—it is their fault. Initial notice to D that a lawsuit has been filed against them
      - Summons and complaint must be served
        - Summons form states:
          - D being sued
          - Response due date
    - How to give notice
      - Primary authority: statute and constitution
        - Constitution
          - Due process clause 14th amendment
          - Some ways to notice d may not be good enough
          - Must be constitutional in order to be valid
        - Statute
          - State law and/or federal law
        - Look at the state and local as well—tit will be in the fact patter,. If no state law, go with due process.
- **Constitutional Limitations – Due process 14th Amendment**
  - To satisfy due process – **reasonable calculated**: service must be <u>*reasonable calculated under the circumstances*</u> to notify d and make sure they understand the nature of the lawsuit. You have to look for them like you really want to find them
    - If you know the names and addresses of the other party or court reasonably get it or if deprivation is large. Service at least by mail lose
    - If you do not know the names and addresses or if you can't reasonably get then or if deprivation small (publication by newspaper is ok).
- **Mullane Holding re Service of Process**
  - <u>*Mullane* Rule</u>: Notice must be "*reasonably calculated*, under all the circumstances," to give the party notice of the action and an opportunity to respond.
  - ***Nonexclusive list of factors*:**
    - *How effective is the method of service?*
      - Personal service is the most effective because you handed it to the person
      - If the person chooses not to read the notice, they have still received the notice and its their choice to not read it
    - *What alternative methods are available?*
      - Notice by publication
      - Mail
      - Substitute service
      - Notice of acknowledgement and receipt
    - *How effective/burdensome/costly are the alternatives?*
    - *What type of interest (of the person being served) is at stake?*
  - **Generalizations from *Mullane:***
    - (1) If names and addresses are known (or "reasonably ascertainable"), **and** if the deprivation is large, adequate notice may need to <u>*at least* include service by mail</u>.
    - (2) If names and addresses are <u>unknown</u>, and if deprivation small, even mail may not be required (e.g., <u>publication may be adequate</u>).
      - Constitutional but may not be effective

- If you have a good address then notice by mail is fine
- (3) Actual notice may be relevant to whether the method of service satisfies due process, but, by itself, it does not prove that service is constitutionally adequate (nor does lack of actual notice prove that the method is inadequate).

- **Types of Personal Service**

**F.R.C.P. 4—Service on an Individual and Corporation**
(e) Serving an Individual Within a Judicial District of the United States. Unless federal law provides otherwise, an individual—other than a minor, an incompetent person, or a person whose waiver has been filed—may be served in a judicial district of the United States by:
- (1) following state law for serving a summons in an action brought in courts of general jurisdiction in the state where the district court is located or where service is made; or
- (2) doing any of the following:
  - (A) delivering a copy of the summons and of the complaint to the individual personally;
  - (B) leaving a copy of each at the individual's <u>dwelling or usual place of abode with someone of suitable age and discretion</u> who resides there; or
  - (C) delivering a copy of each to an agent authorized by appointment or by law to receive service of process.

(h) Unless federal law provides otherwise or the defendant's waiver has been filed, a domestic or foreign corporation, or a partnership or other unincorporated association that is subject to suit under a common name, must be served:
- *(B) by delivering a copy of the summons and of the complaint to an <u>officer, a managing or general agent, or any other agent authorized by appointment or by law to receive service of process</u> and--if the agent is one authorized by statute and the statute so requires--by also mailing a copy of each to the defendant. . . ."*

- ***F.R.C.P. 4 (e)(1) – State Methods of Service of Process:*** If state law permits a specific type of process then that method can work in federal court as well
- ***F.R.C.P. 4 (e)(2)(A) – Personal Service:*** you physically hand it to them
  - Server: any person who is at least 18 years old and not a party
  - Also satisfies PJ if you tag then in that state
  - You can lure them out the door with fraud but you can't lure them out of JDX
- ***F.R.C.P. 4 (e)(2)(B) – Personal Service (adult living in household)***
  - Serve an adult other than the Δ who resides at the dwelling with you, not someone visiting or someone who doesn't reside at the dwelling—need to physically hand it to an adult
  - explicitly permitted in federal court
    - Delivering a copy to the person
    - Copy at individual's dwelling with someone who lives there at least 18 years old. Someone must be home— you cant leave it at the door or in the mailbox
- ***F.R.C.P. 4 (e)(2)(C) – Personal Service (party's agent):*** An agent whereas serving the agent would be the same as serving the Δ
  - Authorization by appointment (authorized agent)
    - You can appoint anyone: your brother, friend ets, over 18 and reasonably able
    - Expressed consent: d agrees to appoint someone
  - Authorized by law:
    - Little to do with consent

        - Law appoints someone to be your agent, NJ case – if you drive through NJ, NJ is your agent
    - ***F.R.C.P. 4 (h)(B) – Service upon Corporations and Associations:*** An agent whereas serving the agent would be the same as serving the Δ
    - ***F.R.C.P. 4(e) Service by mail***
        - If the forum state allows for service in a particular way, it is good enough for the federal rule as well
    - ***Summary Methods of Service Authorized in Federal Court***
        - (1) Personal Service - Rule 4(e)(2):
            - On the Δ himself or herself
            - On an adult residing in D's household
            - On D's authorized agent
        - (2) Any method of service authorized by the state court where the district court sits, or where service is effected (Rule 4(e)(1)), including:
            - (1) posting, (2) publication, or (3) service by regular or certified mail, but only if service *complies with Due Process (Mullane)*

**F.R.C.P. 4 (d) – Waiver of Service**
(1) Requesting a Waiver. An individual, corporation, or association that is subject to service under Rule 4(e), (f), or (h) has a duty to avoid unnecessary expenses of serving the summons. The plaintiff may notify such a defendant that an action has been commenced and request that the defendant waive service of a summons. The notice and request must:
- (F) give the defendant a reasonable time of <u>at least 30 days after the request was sent</u>--or at least 60 days if sent to the defendant outside any judicial district of the United States--to <u>return the waiver</u>. . .

(3) Time to Answer a Waiver. A defendant who, before being served with process, timely returns a waiver need not serve an answer to the complaint until *60 days after the request was sent*--or until 90 days after it was sent to the defendant outside any judicial district of the United States.

- **Procedure for Waiver of Service in Federal Court (Rule 4(d))**
    - ***F.R.C.P. 4 (d)(1) – Waiver of Service (timing)***
        - Waving service because what is in the summons is not relevant
        - Must include the summons, the waiver, and 2 self-addressed stamped envelopes
        - The D has to waive within 30 days
        - Benefit: The D will receive 60 days instead of 30 days to respond to the complaint and 90 for out of the country Δ s
        - If the D refuses to waive service, then the D has to pay for service
            - Because you received the complaint and waiver in the mail is not service if you refuse service → Will have 21 days to respond

**Baidoo v Blood-Dzraku**
Divorce case; service is very difficult—P has tried every effort to serve D
Service of process authorized through Facebook messenger
<u>Mullane Rule</u>: reasonably calculated under all the circumstances to give the party notice of the action and opportunity to respond
- No effective alternative for service or process other than publication
- Service by publication would be less effective than by Facebook messenger
- Facebook messenger was authorized

- **Effect of Service on Statute of Limitations**
    - Federal Court: Statute of limitations is "tolled" (stops running) when the ***complaint is filed*** (FRCP 3), but D must be served with the complaint within 90 days (FRCP 4(m)).

        - Federal question cases
        - SOL stops running when you file the complaint
        - If you do not serve within the time allotted then the SOL starts running again
    - State Court: Rules vary, but the rule in many states is that statute of limitations keeps running until the *Δ is served.*

## Venue

**§ 1391(b) -Venue Generally**
Venue in general: A civil action may be brought in –

- (1) *residence*—a judicial district where any defendant resides, if all defendants are residents of the State in which the district is located; *If all Ds reside in CA but in different districts in CA; can file in whatever district where at least 1 D resides*
- (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred, or a substantial part of property that is the subject of the action is situated; or
    - *Where did the triggering event happen?*
- (3) if there is no district in which the action may otherwise be brought as provided by this section, any judicial district in which any defendant is subject to the court's personal jurisdiction with respect to such action. *If no district satisfies (1) or (2) then where at least 1 D has PJ*

- ***Summary: Three Options for Federal Court Venue under Section 1391***
    - (1) If all Δ reside in the same state, a judicial district where any Δ resides;
    - (2) A judicial district where a "substantial part of the events giving rise to the cause of action occurred"; **OR**
        - The location of the event occurring in a products liability case → where the accident happened, explosion happened, manufacturing happened
        - Omissions: where a breach of contract happened
    - (3) If (1) & (2) don't apply, in any judicial district where at least one Δ is subject to personal jurisdiction.
        - all actions would have to happen outside of the US and the D would not all reside in the same state
            - Very occasionally 1 and 2 wont yield any value – only then move to 3
        - Fallback: if ds reside in different states + events out of the country, then anywhere with pj is ok
        - Note: often more than 1 venue is available; does not have to be filed in the best venue

**§ 1391(c) -Venue Residency**
***Residency for an individual. For all venue purposes –***

- a natural person, including an alien [who is a permanent resident*], shall be deemed to reside in the judicial district in which that person is domiciled*; use domicile test to determine the judicial district. International d = anywhere in the US
- an entity. . . [including a corporation], shall be deemed to reside, if a defendant, *in any judicial district in which such defendant is subject to the court's personal jurisdiction with respect to the civil action in question* and, if a plaintiff, only in the judicial district in which it maintains its principal place of business; and where the corp resides and any judicial district where they are subject to PJ in that action (based on the facts)
- a defendant not resident in the US [an alien] *may be sued in any judicial district….*

**§ 1391(d) -Venue Residency- Corporations**
***Residency of corporations in States with multiple judicial districts***

- For purposes of venue under this chapter, in a State which has more than one judicial district and in which a D that is a corporation is subject to PJ at the time an action is commenced, such corporation shall be deemed to reside in any district in that State w/in which its contacts would be sufficient to subject it to PJ if that district were a separate State, and, if there is no such district, the corporation shall be deemed to reside in the district w/in which it has the most significant contact. For corporate Ds id more than any district in state, treat district as state for pj analysis

***Uniffer v. La Reunion Francaise***

- P's ship sank in Puerto Rico
- P filed the case in district court of Puerto Rico based on **"substantial part of the events giving rise to the cause of action occurred"**

Rule: We conclude that, in a suit against an insurance company to recover for losses resulting from a vessel casualty, the jurisdiction where that loss occurred is "substantial" for venue purposes—if the ship hadn't sunk there, there would not be a dispute

- designed to be broad and a lot of judicial districts could satisfy venue

**LA Notes**

- **Definition: which court within the state should they file in?**
  - ***28 USC §1391 (b): appropriate venue***
    - District where any d resides if all reside in the same state
    - District where substantial events or omission occurred/ property located
      - (1) The location of the event occurring in a products liability case → there the accident happened, explosion happened, manufacturing happened
      - (2) Omissions: where a breach of contract happened
      - (3) all actions would have to happen outside of the US and the D would not all reside in the same state
        - Very occasionally 1 and 2 wont yield any value – only then move to 3
    - Fallback: id ds reside in different states + events out of the country, then anywhere with pj is ok
    - Note: often more than 1 venue is available
    - Note: does not have to be filed in the best venue
  - ***28 USC §1391 (c): residency definition***
    - For individual including aliens: where they are domiciled
    - Corporations= PJ (when d) and ppb (when P)
    - International d = anywhere in the is
  - ***28 usc §1391 (d): residency of corporation in the state with multiple districts***
    - For corporate Ds id more than any district in state, treat district as state for pj analysis

## Transfer of Venue

- ***Objecting to Venue in Federal Court Rule 12(b)(3) – Motion to Dismiss for improper Venue***
  - Every defense to a claim for relief in any pleading must be asserted in the responsive pleading if one is required
  - **Treated like PJ—the objection needs to be in the response, otherwise it is waived that venue is improper

**Waiver of Venue Objection in Federal Court Rule 12(h)(1)**

A party waives any defense listed in Rule 12(b)(2)-(5) [including Venue – 12b3] by:

- (B) failing to either: (i) make it by motion under this rule; or (ii) include it in a responsive

pleading or in an amendment allowed by Rule 15(a)(1) as a matter of course.

- **Procedures for Challenging Improper Venue in Federal Court**
  - (1) In a motion to dismiss filed at the beginning of the lawsuit;
  - (2) As an affirmative defense, included in an answer to plaintiff's complaint;
  - (3) On appeal, but only if you preserved your objection by raising it either in your answer or in a motion to dismiss; OR
  - (4) Via a motion to transfer venue, often filed together with a motion to dismiss based on improper venue [28 USC § 1406(a)], or filed after answering the complaint (assuming you have preserved your objection to venue via an affirmative defense).
- **28 U.S.C. §1404 (a) and §1406(a)**
  - §1404— something was files in the right place but there is another place even better
    - Transfer when files in proper venue if
      - Transferee court more convenient AND
      - Case could have been filed there initially OR parties consented
  - §1406 – something filed in improper venue
    - Transfer OR dismiss when filed in improper venue
    - Most of the time the court will dismiss the case; May transfer if SOL has run

**28 U.S.C. § 1404 (a) Discretionary Transfer of Venue**
For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought OR to any district or division to which all parties have consented.

**28 U.S.C. § 1406 Mandatory Transfer of Venue**
- The district court of a district in which is filed a case laying venue in the wrong division or district shall dismiss, or if it be in the interest of justice, transfer such case to any district or division in which it could have been brought.
- Nothing in this chapter shall impair the jurisdiction of a district court of any matter involving a party who does not impose timely and sufficient objection to the venue. [Venue can be waived.]

- **Definitions to know**
  - Transferor Forum—where the case is transfer from
  - Transferee Forum—where the case is transfer to
- **Steps for Requesting a Discretionary Transfer of Venue under § 1404 (a)**
  - Party requesting a transfer must show that:
    - The plaintiff could have filed the case in the transferee forum (PJ exists over Δ s and venue is proper) OR all parties consent to transferee forum; AND
    - The transferee forum is a more convenient forum than the judicial district in which the case was filed (based on location of witnesses, evidence, etc.); OR party requesting transfer would suffer prejudice if case is not transferred (e.g., due to pretrial publicity).
  - <u>Convenience type of argument</u>: Needs to be done as the very first thing in the case or relatively soon thereafter
- **List of Factors re Convenience/Justice (Discretionary Transfer of Venue)**
  - ***Private Interest Factors***
    - Ease of access to proof - where is the evidence?
      - Is compulsory process available – can witnesses be forced to appear/convenience of witnesses
      - Location of physical evidence
    - P's Choice of Forum/P's convenience
    - D's Choice of Forum/D's convenience

        - Where the claim arose/connection between the forum state and the action
    - ***Public Interest Factors***
        - Will transferee court be required to apply the law of another state/country?
        - Which court (transferor or transferee) has a more crowded docket?
        - Which court has a closer connection to the controversy/which forum has a greater interest in the controversy?
- **Choice of Law**
    - Under §1404—the choice of the law where the case is filed occurred follows the case—because the venue is improper (SOL will apply where the case was originally filed)
    - Under §1406 – if the case is transferred the choice of law do not follow the case—because the venue is wrong (Only applicable in diversity cases)

***MacMunn v. Eli Lilly Co.:*** Filed in federal court and started out in DC, but wanted to transfer it to Mass. PJ yes, Venue yes. Mass is a better forum. Discretionary transfer v. Mandatory transfer.

## Forum Non Conveniens

- **A court has to DISMISS under Forum Non Conveniens, you cannot transfer**
    - usually has to do with foreign countries
    - the P's option are to refile in another country
- ****typically looking at a case that arises outside the US v. US Δ s**
    - PJ and venue will be proper because the D will be filed in D home state
    - But it would be more proper to hear the case where it occurred
    - The P's are usually not US citizens
- **List of Factors re Doctrine of Forum Non Conveniens**
    - ***Private Interests of the Litigants***
        - Ease of access to proof - where is the evidence?
            - Is compulsory process available – can witnesses be forced to appear?
            - Cost of obtaining willing witnesses
            - View of the premises, if appropriate
        - Burden on D?
        - Enforceability of judgment
        - Any other private considerations, such as a change in the substantive law governing the dispute (worse law OK so long as some remedy exists)
    - ***Public Interests of State and Courts*** ("Localized interest in having localized controversies decided at home")
        - Forum state courts burdened with complex litigation unrelated to the forum?
        - Jury duty imposed upon people who have no connection with the litigation?
        - Application of foreign law required?
    - ***Dismissal for case filed in correct venue***
        - If more efficient, effective convenient forum outside of system
        - AND after balancing between private and public interest factors
        - * if you cannot transfer between systems you must dismiss – exceptions
    - ***Test***
        - (1) Is there an alternate forum available?
            - Yes go to #2
            - No: stop the lawsuit will not be dismissed under FNC
        - (2) What are the private interest factors?
            - Think: parties, witnesses, evidence
        - (3) What are public interest factors

- Think: which forum has a greater inters in the disput

- **Forum Non Conveniens – Limitations**
  - Case will not be dismissed unless another, "more convenient" forum exists, where P may sue the D(s)
    - D may create an alternative forum by agreeing to waive any objection to personal jurisdiction in that forum, and/or agreeing to waive a statute of limitations defense that would bar filing in that forum.
    - Law in the alternative forum may be worse for the plaintiff, but it must provide some remedy for claimed injuries.
  - If P is a US resident, balance of factors must be overwhelmingly in favor of dismissal; doctrine is typically applied when P resides outside the US.
  - Many state courts do not recognize FNC; it is a common law doctrine (created by courts), not statutory or based on the Constitution.

***Piper Aircraft v. Reyno***

- Plaintiff: Reyno (administrator to represent of the 6 people who died in the crash)
- Defendant 1: Piper (plane manufacture)—PA laws apply to this D
  - CA choice of law rules apply to determine PA laws apply
- Defendant 2: Hartzell (manufactures propellers) —Scottish laws apply to this D
  - PA choice of law rules will apply
  - Under PA choice of law Scottish law will apply
- Plane crash
- Evidence and some witnesses is in England
- Products were made in PA

*Procedural History*

- Files in CA superior Court
- Case is removed to the fed central dist of Ca
- Transferred to the middle dist in PA
  - As to Piper it is under §1404 – convenience for witnesses
  - As to Hartzell is under §1406
- PA dist court grants motion to dismiss saying venue is improper because Scotland is more proper
- Court of appeal Reverses
- SCOUTS rules the dist court was right and should be heard in Scotland

## Prior to Erie Doctrine

**Rules of Decision Act, 28 U.S.C. § 1652 (RDA)**

- The *laws of the several states*, except where the Constitution or treaties of the US or Acts of Congress or otherwise require or provide, shall be regarded as *rules of decision* in civil actions in the courts of the US, in cases where they apply.

*Swift ruling prior to Erie

***Black & White Taxicab & Transfer Co. v. Brown & Yellow Taxicab & Transfer Co.***

- Breach of K case: Railroad company entered into a contract with Brown and Yellow where B&Y would be able to solicit business from the trains and be the only cab company to do so
- Railroad did not enforce the contract
- *Under the federal common law of contracts →this is an enforceable contract
- *Under the state common law of contracts →this is not an enforceable contract because it is monopolistic and would go against public policy

***Erie Railroad Company v. Tompkins***
What duty did the railroad owe to Tompkins?
- *Under the federal common law of torts → duty of ordinary care – higher standard of care than the state rule
- *Under the PA state common law of torts → duty to avoid wanton or willful negligence

**Rule:** Swift is overruled**;** State law needs to be applied in diversity cases if it is a substantive issue;
- if it a procedural issue then federal can make up their own rules (Necessary and Proper Clause)
    - federal procedural rules need to be

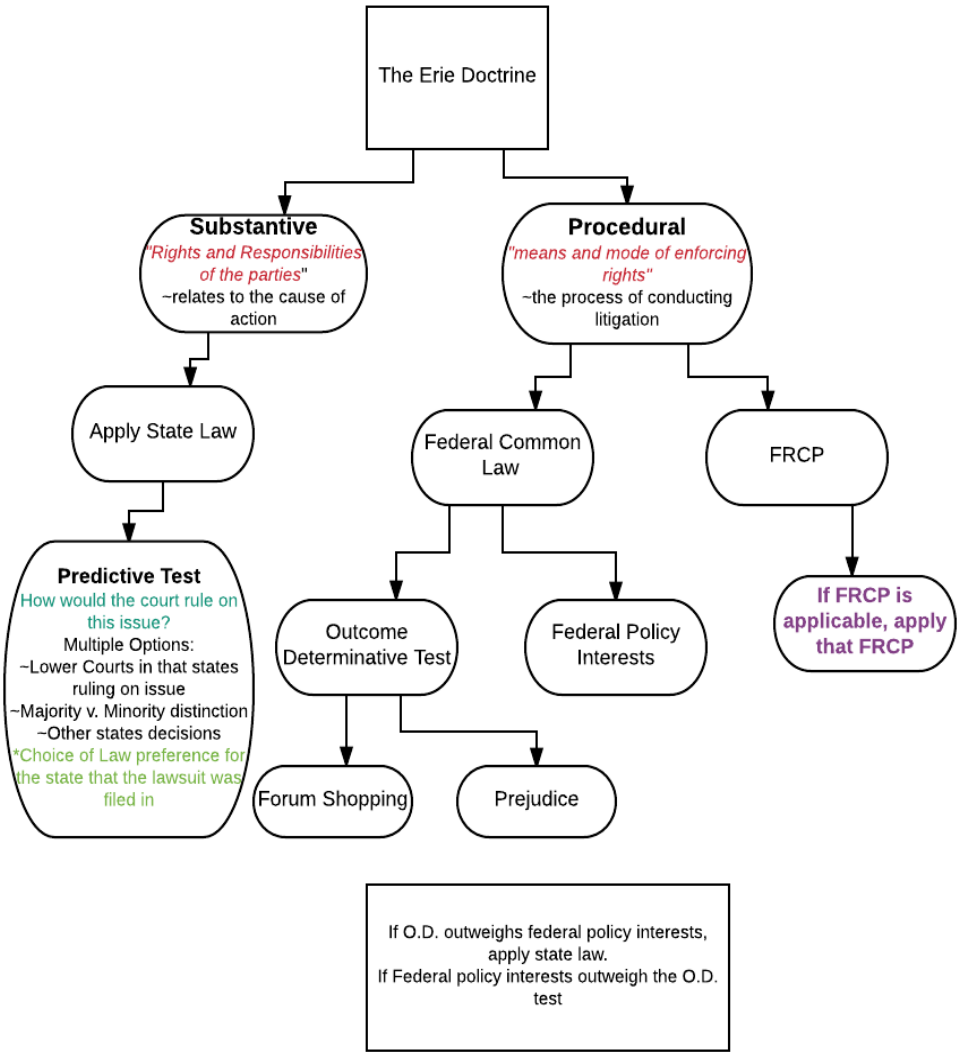
**Necessary & Proper Clause US Const., Article I, § 8**
- Congress shall have the power to . . . constitute Tribunals inferior to the supreme Court…
- And to make all Laws which shall be *necessary and proper* for carrying into Execution the foregoing Powers, and all other Powers vested by this Constitution in the Government of the United States. . . .

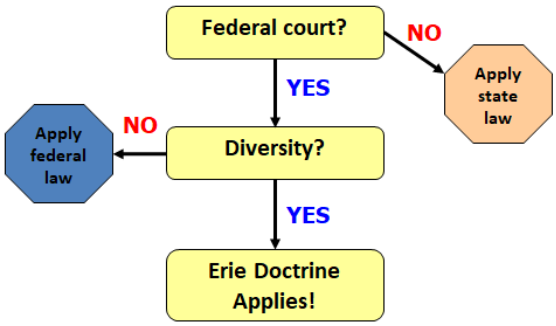
**Rules Enabling Act 28 U.S.C. § 2072**
- (a) The Supreme Court shall have the power to prescribe general rules of *practice and procedure* and rules of evidence for cases in the US district courts. . . .
- (b) Such rules shall not abridge, enlarge or modify any *substantive right.*

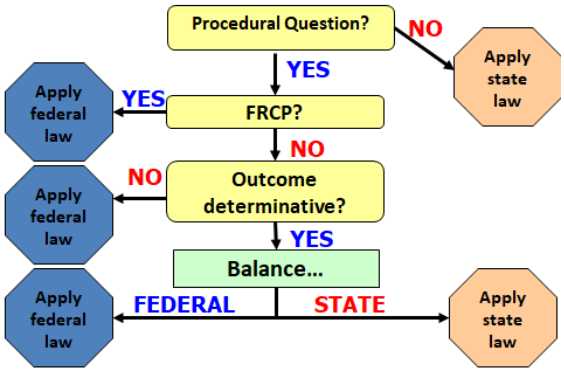
## Erie Doctrine

Erie—procedure to determine if you are going to follow state or federal law
    - If an essay question mentions state and federal law then it was
    - Way to determine whether the federal court should apply state or federal law to a COA
    - Rule Enabling Act: Used for procedure
- Trigger facts: state law + FRCP
- Is the case in federal court?
    - No: if in state – erie does not apply – apply state law
    - Yes: is there SMJ through diversity or federal question
        - federal question → federal law
        - diversity → Erie
- Erie applies
    - Procedural
        - No: substantive – deals with the law itself
            - apply state law
                - choice of law
                - predictive test (multiple different laws, only if triggered)
        - Yes
            - FRCP will always be procedural
            - No FRCP
                - Outcome determinative
                - No: apply federal law
                - Yes: balancing test
                - Forum shopping v. federal policy interest
                - Federal policy is to uphold a constructional issue
                - If balancing test favors federal policy interest apply federal law

- If it favors deterrence of forum shopping



## Erie: Choice of Law Rule

- **When it is a substantive rule we have to apply state law**
  - ***Rule to find out which state law applies:*** Choice of law rules→ Where the suit is filed
  - How do we find out what the state law is?
    - **Erie Common Law Rule**
      - Just look at the statute
      - If statute doesn't exist, then precedent (state supreme court case - that is directly on point and directly answering your question)
        - If the SC does not has not addressed the issue, then you have to look at whatever evidence there is, and judge figures out what the decision would be
      - **Guessing game**: When the federal judge guesses to which state law is going to apply, in that case, the judgment is not binding on other states, because they are guesses
      - **Certification Procedure**
        - Federal courts could also, ask the state supreme court to make a ruling
        - Sometimes the court will answer those questions and sometime they won't
        - Some will only accept it from appellate courts (p 901) - these procedures take time
      - Sometimes there are State Supreme Court cases that are on point, but fed judge will not use it -
        - If the supreme court case is really old - fed judge is supposed to predict what the supreme court judge would do now
      - They would not throw out a ruling unless there was a good reason
- **2 part test**
  - (1) What is the forum state law?
    - Apply forum state choice of law rule
  - (2) What is the state law on this issue?
    - Look to statute—if you can't find anything, look to common law
    - <u>Predictive Approach (Erie Guesses)</u> → if there is no applicable law for the federal court to rely on in deciding the matter in front of them then…
      - the federal court must decide how the state supreme court decided this case if it was in front of them today?
      - How would the court rule on this case, even though this matter has never been in front of them

***Klaxon Co. v. Stentor Elec. Mfg. Co.***
Federal Court in Delaware – Diversity JDX
**Issue**: whether to apply NY state law to apply rate of interest.
- Federal court had to determine of the choice of law – the court chose NY law—the lower court made up their own choice of law and that was not correct

**Rule:** The court should have applied the DE conflict of law rule and not the restatement

## Erie: Outcome Determinative Rule

- **When federal common law conflicts with state law, which one do we apply?**

- Is the rule a "*form or method* of enforcing a right" or does the rule create a *substantive right*?
- *Substantive rights:* State law applies
- *Form or method* of enforcing a right: Federal courts create (and follow) their own rules, but may have to follow the state rule if the rule would be *outcome determinative (*although the court may also have to consider/balance special federal interests, such as 7th Amendment right to jury).

- **Prompts for the Erie Doctrine Problem -**
  - Federal Court - Diversity (only basis for fed SMJ is diversity)
  - Which law to be applied:
    - State - Follow states substantive right (effect the burden of proof - 1L material)
    - Federal - most cases get to make up your own rules (Erie decision)
      - And the laws are different - decide which law to apply

***Guaranty Trust Co. v. York***

- Class action suit
- Procedural side of flowchart – regulates the process of litigation
- Statute of Limitations was at dispute
  - State Rule: SOL/ P actions time barred
  - Federal rule: equitable doctrine of laches (comes from the English court)

**Rule**

- What does a federal court need to apply state law if the rule could be characterized as procedural?
  - The goal is to get the same outcome in the litigation whether the case is filed in state or federal court
  - <u>The outcome determinative test</u>: If the difference in the rules would change the outcomes, the federal court must apply the state rule
    - Applicable when federal common law rules
  - Outcome determinative test per court wording:
    - "And so the question is not whether a statute of limitations is deemed a matter of "procedure" in some sense. The question is whether such a statute concerns merely the manner and the means by which a right to recover, as recognized by the State, is enforced, or whether such statutory limitation is a matter of substance in the aspect that alone is relevant to our problem, namely, does it significantly affect the result of a litigation for a federal court to disregard a law of a State that would be controlling in an action upon the same claim by the same parties in a State court?"

**Bryd v. Blue Ridge**

- State: Judge decides
- Federal: Jury decides
  - Workers Comp: Gives you a flat amount of money for injury - This makes you unable to file a lawsuit
  - This is a method of enforcement - Procedural (deciding who gets to decide)
    - It is merely a form and mode of enforcing the immunity (worker's comp)
- This may change the outcome
  - Substantive/Procedural? - Procedural (Erie)
  - "Outcome Determinative" (Guarantee Trust)
    - Strong Federal Interest (Byrd) - Balancing Test
      - 7th Amendment - Right to a jury trial in federal court
- Two competing rule question:
  - The difference between the rules must change the case, federal question

- You would want to weigh out the two

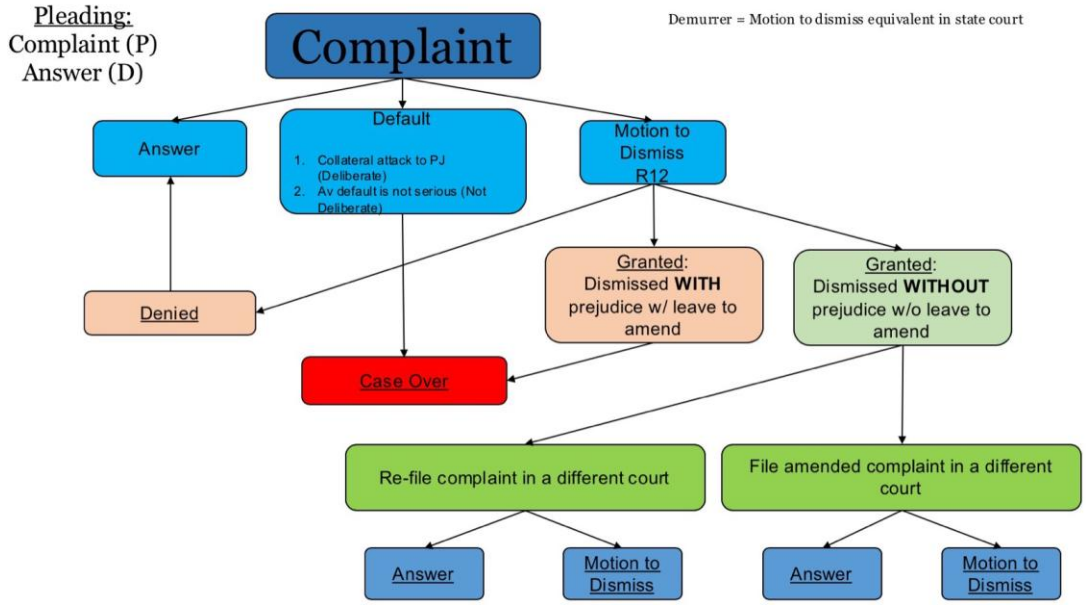
## Outcome Determinative Rule—Balancing Test

***Hanna v. Plumer***

- REA and addresses the old determinative test and comes up with a new rule
- State: Must personally serve the executor (Massachusetts Law)
- Federal: Can serve a competent adult in the household (Rule 4(d)(1) - Substituted Service))
  - The wife was served
  - There is no strong federal policy behind 4(d)(1)
  - In this situation, if they did not serve properly in the first place, their action of service is time barred
  - Anything can be OD under the right circumstances - they don't overrule Guaranty Trust v. York, they just come up with a new definition
- Not looking at the facts of THIS case, it is looking at it in GENERAL
- This is referring to the twin aims of Erie - Not if it would literally change the outcome of the case, it is more if it would cause a different choice prospectively
- The outcome determinative test does not even need to be applied here because the source of federal law is FRCP (Federal Laws of Civil Procedure - Rule 4(d)(1) - after REA

- ***Hanna*'s Refinement of the Outcome Determinative Test**
  - Federal courts sitting in diversity may be required to apply state rules, even if they constitute a "form or method" of enforcing a right, if application of the rule would be *outcome determinative. Guaranty Trust.*
  - Application of the rule is *outcome determinative* if the difference in the rules would be enough to *influence the plaintiff's choice of forum*, or would create unfair *discrimination*; not whether application of the rule would change the outcome in any given case. *Hanna.*
- **When the FRCP conflict with state law, which one do we apply?**
  - Is the FRCP "sufficiently broad" to cover the issue in dispute? (*Walker*) If so . . .
  - Is the Rule *arguably procedural* – can it "rationally" be classified as a procedural rule, not a rule that creates, abridges, enlarges, or modifies a substantive right? (If so, it complies with the REA and does not violate the Constitution.)
    - [Answer has always been "yes"]
- **Rule 35(a) – Physical and Mental Exams**
  - (1) The court where the action is pending *may order* a party whose *mental or physical condition* – including blood group -- is *in controversy* to submit to a *physical or mental examination* by a suitably licensed or certified examiner. [ ]
  - (2) The order:
    - (A) may be made only *on motion for good cause* and on notice to all parties and the person to be examined; AND
    - (B) must specify the *time, place, manner, conditions, and scope of the examination*, as well as the person or persons who will perform it.

## Pleadings




- Pleadings
  - 8(a): complaint
    - Short & plain stmt of claim
    - Claim has to be plausible
  - 8(b): answer
  - 8(c): affirmative defenses
  - 12(b): motions to dismiss
    - 12(b)(6): failure to state a claim
- Amendment
  - 15(a): pretrial amendments
    - as a matter of course
    - Other amendments
  - 15(c): relation back
    - As law allows
    - Claims
    - Parties
- Joinder—joining new parties and claims
  - 18: general rule
  - 19: compulsive joinder
    - 19(a): necessary parties
    - 19(b): indispensable parties
  - 20: permissive joinder
  - 42: separate trials
  - Claims involving existing parties
    - 13(a): compulsory counterclaim
    - 13(b): permissive counter claim
    - 13(g): cross claim
  - Claims involving 3rd parties
    - 14: impleader
    - 22: interpleader
    - 24: intervention
  - 23: Class actions
- Disposition
  - 41: Voluntary & Invol Dismissal
  - 54(c): Judgment costs
  - 55: Default
  - 55: Default
  - 60(c): Relief from Judgement
    - (1) mistake, inadvertence, surprise, or excusable neglect;
    - (2) newly discovered evidence that, with reasonable diligence, could not have been discovered in time to move for a new trial. .
    - (3) fraud. . . by an opposing party;
    - (4) the judgment is void [lack of SMJ];
    - (5) the judgment has been satisfied, released or discharged. . .;
    - (6) any other reason that justifies relief.
- Other
  - 11: Sanctions

## Complaint

- **F.R.C.P. 1 – Scope and Purpose:** These rules govern the procedure in all civil actions and proceedings in the United States district courts. . . . They should be construed and administered to secure the just, speedy, and inexpensive determination of every action and proceeding.
- **F.R.C.P. 2 – One Form of Action:** There is one form of action – the civil action.

***Doe v. Smith***
- Federal claim under federal law 18 U.S.C. §2520
- P did not plead facts to evert COA and did not plead every COA

Rule: Have to allege each fact to each COA; and allege that it happened

- **F.R.C.P. 8 (a) – Claim for Relief**
  - A pleading that states a claim for relief must contain:
    - (1) a short and plain statement of the grounds for the court's jurisdiction
      - * Need to state all 3 before you get to the nature of the claim
    - (2) a short and plain statement of the claim showing that the pleader is entitled to relief; **and**
      - The complaint must include "enough factual matter (taken as true) to suggest" that plaintiff is entitled to relief. Plaintiff's factual allegations "must be enough to raise a right to relief above the speculative level"; P's right to relief must be "plausible" based on facts alleged. *Bell Atlantic v. Twombly*
      - *Twombly/ Iqubal changed Rule 8(a)(2)
      - FRCP 12(b)(6) is filed when Rule 8(a)(2) is not met
    - (3) a *demand for the relief* sought, which may include relief in the alternative or different types of relief.

## Default Judgements

- **Rules 54 & 55 – Default Judgments**
  - ***F.R.C.P. 55(a):*** When a party against whom a judgment for affirmative relief is sought has *failed to plead or otherwise defend*, and that failure is shown by affidavit or otherwise, *the clerk must enter the party's default*.
    - You did not file an answer or another motion to challenge the complaint
  - ***F.R.C.P. 55(b)— Entry of default***
    - (1) *By the Clerk.* If the plaintiff's claim is for a sum certain or a sum that can be made certain by computation, the clerk. . . must enter judgment for that amount and costs against a Δ who has [defaulted].
      - For a simple amount calculated by the clerk of the court
    - (2) *By the Court*. In all other cases, the party must apply to the court for a default judgment.
  - ***F.R.C.P. 55(c):*** *Setting Aside a Default or a Default Judgment.* The court may set aside an entry of default for *good cause*, and it may set aside a default judgment under *Rule 60(b)*.

***Virgin Records Am., Inc. v. Lacey***
- Illegal downloaded music—asking for injunction, destroy the music, judgement of $6000 ($750 per song x 8 songs) → P defaulted

- ***Rule 60(b) – Relief from Judgment –*** motion you make once a judgment is entered and you want to set aside the judgment
  - On motion and just terms, the court may relieve a party or its legal representative from a final judgment. . . for the following reasons:
    - (1) mistake, inadvertence, surprise, or excusable neglect;
    - (2) newly discovered evidence that, with reasonable diligence, could not have been discovered in time to move for a new trial. . . ;
    - (3) fraud. . . by an opposing party;
    - (4) the judgment is void [lack of SMJ];
    - (5) the judgment has been satisfied, released or discharged. . .;
    - (6) any other reason that justifies relief.
- ***F.R.C.P. 54(c):*** A default judgment must not differ in kind from, *or exceed in amount*, what is demanded in the pleadings. Every other final judgment should grant the relief to which each party is entitled, even if the party has not demanded that relief in its pleadings.
  - You can get more at trial, but not if the P defaults. Ex: Virgin records is entitled to $6000

## Rule 12(b)—Motion to Dismiss

***Ashcroft v. Iqbal***

- Cause of actions: discrimination of religion, nat'l origin, and race (1st and 5th amendment and §1983)
  - Bivens action: individual damages for ???
- Policy P alleges D created a policy of confining individuals based on religion, nat'l origin, and race—Arab Muslim men from Pakistan were the ones who were subjected to the discriminatory confinement
- Supreme court says that D do not have to answer complaint
- Rule 8(a)(2) is not satisfied because the complaint is conclusory

Rule

- Assume all facts pleaded are true
  - A legal conclusion is not good enough, you need to plead facts to support those conclusions
  - Determine what is a legal conclusion and what is a fact?
- <u>Plausibility Standard</u>: it must then determine whether they plausibly give rise to an entitlement to relief
- The facts have to show where the facts are plausibly true

- **F.R.C.P. 8 (a)(2) as refined by Twombly and Iqbal (Rule)**
  - A complaint that alleges legal conclusions tracking the elements of the causes of action, without alleging *facts* supporting those elements, will be vulnerable to a motion to dismiss (12b6).
  - The facts plead must *plausibly* entitle the P to relief. If D's liability is only a mere possibility based on the alleged facts, the complaint may be dismissed under 12b6.
  - **Practical Implications of Twombly and Iqbal**
    - Δ s should prefer federal court. Motions to dismiss have become much more common, especially in complicated cases.
    - More factual investigation must take place before the complaint is filed, without the benefit of formal discovery devices. Premium placed on finding whistleblowers to provide potential P's with specific facts to support claims.

- **F.R.C.P. 9 (b)**
  - In alleging *fraud* or mistake, a party must *state with particularity* the circumstances constituting fraud or mistake. Malice, intent, knowledge, and other conditions of a person's mind may be alleged generally.
  - Heightened pleading standard: it is more a serious allegation, so you want to plead as many facts as you can, because the mere allegation can be detrimental to the D; the claim needs some basis
  - Not clear what 9(b) adds when you have the interpretation of 8(a)(2)
- **F.R.C.P. 9 (g) Special Damage**
  - If an item of special damage is claimed, it must be specifically stated.
  - Things that can be specifically calculated
  - General damages: assumed to already exist as damages; no need to specially allege
  - ***General and Special Damages***
    - Examples of *special* damages: Lost wages, medical expenses
    - Examples of *general* damages: Pain and suffering and mental anguish, in a personal injury case

## Rule 12 –Motions to Strike or for a More Definite Statement

- ***F.R.C.P. 12(f) Motion to Strike***
  - The court may strike from a pleading an insufficient defense or any redundant, immaterial, impertinent, or scandalous matter.
    - Motions to strike are disfavored and should not be granted "unless it is absolutely clear that the matter to be stricken could have no possible bearing on the litigation." *Lilley v. Charren.*
- ***F.R.C.P. 12(e) Motion for a More Definite Statement***
  - A party may move for a more definite statement of a pleading to which a responsive pleading is allowed but which is so *vague or ambiguous* that the party *cannot reasonably prepare a response*. The motion must be made before filing [an answer] and must point out the defects complained of and the details desired.
    - You have to edit the complaint for the Plaintiff

*Matos v. Nextran, Inc.,*
- Personal injury case, P was hit by a truck
- D tried to "illegal conduct" under Rule 12(e)
- Court denied the 12(f) and 12(e) motions
- Court grants part of the motions to dismiss – breach of warranty

## Rule 12 –Motions to Dismiss

- ***Rule 12 (b) motions:***
  - 12(b)(1) – lack of **subject matter jurisdiction**
  - 12(b)(2) – lack of **personal jurisdiction**
  - 12(b)(3) – improper **venue**
  - 12(b)(4) – insufficient **process**: Failure to serve the complaint property
  - 12(b)(5) – insufficient **service of process**: Procedural violation
  - 12(b)(6) – **failure to state a claim** upon which relief can be granted
  - 12(b)(7) – **failure to join** a party under Rule 19
    - Relates to Joinder—multiple parties joint together and if this party cannot be joined then the case cannot go forward
- ***F.R.C.P. 12 (b)(6) – Motion to Dismiss***

- Every defense to a claim for relief in any pleading must be asserted in the responsive pleading if one is required. But a party may assert the following defenses by motion:
  - (6) failure to state a claim upon which relief may be granted; . . . .
  - When a Δ files a 12(b)(6) motion, s/he is arguing that, even if the allegations in the plaintiff's complaint are true, they do not state a legally cognizable claim (a "claim upon which relief may be granted").
- 12(b)(6) attacks 8(a)(2) of the complaint—no claim is not stated that the P is entitled to relief
- Even if all the allegations are true they do not state a claim in which relief may be grated
- Allegations of facts are presumed to be true
- Legal conclusions are NOT presumed to be true
  - Have to have in the complaint
  - You have to should that each element of the cause of action is met with a legal conclusion and support that conclusion with facts
- D cannot add new facts to the case in the D's response
- Four corners of the complaint: cannot look outside the complaint
  - If you plead too many facts – then you may plead yourself out of court
- ***When will a court grant a motion to dismiss under Rule 12(b)(6)?***
  - Plaintiff has <u>not alleged a valid cause of action</u>
    - what P has alleged is not actionable
    - granted w/prejudice – w/out leave to amend
  - Plaintiff's <u>complaint reveals an absolute defense</u>
    - e.g., claim is time barred
    - granted w/prejudice – w/out leave to amend
  - Plaintiff has <u>failed to plead all the elements of his claim</u>, or claims are too conclusory
    - typically granted *w/out* prejudice and *with* leave to amend, at least initially

- ***F.R.C.P. 12 (c) – Motion for Judgment on the Pleadings*** (Motion to dismiss after you answered)
  - After the pleadings are closed—but early enough not to delay trial—a party may move for judgment on the pleadings
    - At any point during the proceedings other than on the eve of trial
    - Same as a 12(b)(6) motion, just called by a different name because it is at a different stage in the case
    - A Rule 12c motion is basically identical to a Rule 12b6 motion, except it is filed after the D answers the complaint
- ***F.R.C.P. 12(d)***
  - If, on a motion under Rule 12(b)(6) or 12(c), *matters outside the pleadings are presented to and not excluded by the court*, the motion must be treated as one for *summary judgment* under Rule 56. All parties must be given a reasonable opportunity to present all material that is pertinent to the motion.
  - If there are any facts added that are outside the compliant that motion will be treated as a Summary Judgement Motion
  - Judge will not rule on motion until discover has been conducted
- ***Plaintiff's Burden of Pleading and Production***
  - In the Complaint, Π must plead, or allege, all elements of each cause of action.
    - Need to start the case by alleging all the elements are true and later you will have to prove these elements are true
    - Need to at least claim it happened
  - At trial, Π must produce evidence to prove each element of each cause of action.
    - <u>Example</u>: Cause of action for libel

- Plaintiff must plead (in complaint) and prove (at trial):
  - Δ s published the statements;
  - the statements were about plaintiff;
  - the statements were false; and
  - Δ s failed to use reasonable care to determine the truth or falsity of the statements.

- ***Which affirmative defenses are* waivable *(Rule 12(h)(1))?***
  - Lack of personal jurisdiction (12b2)
  - Improper venue (12b3)
  - Insufficient process/service of process (12b4, 12b5)
    - *If Δ files a Rule 12(b) motion on these grounds (12b2-12b5), he has to include all applicable defenses. He *cannot file more than one motion to dismiss*, and he cannot raise any of these defenses in his answer after he has filed the motion to dismiss under Rule 12b.*

*Hunter v. Serv-Tech, Inc.,*
- D originally filed a motion to dismiss for lack of service and reserved PJ for later
- Service was fixed then D tried to filed a PJ motion and was denied because the all motions to dismiss need to be

- ***Which Rule 12(b) affirmative defenses are not waivable?***
  - Lack of subject matter jurisdiction (12b1)
  - Failure to join a party under Rule 19 (12b7)
  - Failure to state a claim upon which relief can be granted (12b6).
    - *If Δ files a motion to dismiss for failure to state a claim *after* answering the complaint, the motion is filed under Rule 12(c) and is called a motion for judgment on the pleadings.*

## Rule 8 –The Answer

- In state court you can file a general denial; in federal court you have to respond to every allegation and every cause of actions Rule 8(b)(1)
  - In federal must admit or deny every allegation or Rule 8(b)(5)
- ***Rule 8 (b)***
  - (1) In responding to a pleading, a party must: **and**
    - (A) state in short and plain terms its *defenses* to each claim asserted against it;
    - (B) *admit or deny* the allegations asserted against it by an opposing party…
  - (4) A party that intends in good faith to deny only part of an allegation must admit the part that is true and deny the rest.
  - (5) A party that *lacks knowledge or information sufficient to form a belief about the truth of an allegation* must so state, and the statement has the effect of a *denial*.
- ***Rule 8 (c) Affirmative Defenses***
  - In responding to a pleading, a party must affirmatively state any avoidance or affirmative defense, including:
    - accord and satisfaction; arbitration and award; assumption of risk; contributory negligence; discharge in bankruptcy; duress; estoppel; failure of consideration; fraud; illegality; injury by fellow servant; laches; license; payment; release; res judicata; statute of frauds; statute of limitations; and waiver.
- ***Defendant's Burden of Pleading and Production***
  - In the Answer, defendant must **plead** each affirmative defense.
  - At trial, Δ must **produce evidence** to **prove** each affirmative defense.
  - Δ 's Burden of Pleading and Production
  - Example: Cause of action for libel; Affirmative defense of privilege

- Even if P can *prove* the elements of his claim of defamation, if D *pleads* this A.D. in the Answer and *proves* the A.D. at trial, D still wins.
- E.g., Even if P *proves* that D recklessly made false statements about P *in court*, D still prevails because those statements were privileged.

***Ingraham v. United States***

- Should the statutory limitation cap on damages be plead as an affirmative defense?
- Problem of omitting it (unfair to the P) because you cannot spring it on the P after the case has gone to trial and received a judgment
- If the D raised the issue earlier P could have prepared a defense to the D's affirmative defense—did you hid the ball?
- Was the delay of not having this in the pleading earlier prejudice to the P

## Rule 11—Sanctions

- **Evolution of Rule 11**
  - Pre-1983: Rule 11 rarely used and has "no teeth" (must prove "bad faith")
  - 1983-1992: Rule 11 significantly changed; causes explosion in Rule 11 litigation
  - 1993 to present: (middle ground)
  - Rule 11 modified again; not as "toothless" as it was pre-1983, but revised rule attempts to discourage routine filing of sanctions motions
- **Rule 11(b) – Standard for Liability**
  - When an attorney (or a *pro se* party) presents a pleading to the court, s/he certifies that, "to the best of [his/her] knowledge, information and belief, *formed after an inquiry reasonable under the circumstances"*
    - (1) the pleading "is not being presented for any improper purpose" (e.g., to harass);
    - (2) the *legal* contentions are "*warranted by existing law or by a nonfrivolous argument for extending, modifying, or reversing existing law or for establishing new law"*; **AND**
      - *legal arguments
    - (3) the *factual* contentions "have evidentiary support" or will *likely* have evidentiary support "after a reasonable opportunity for further investigation or discovery"
      - *factual contentions—all need evidentiary support
      - *after Iqubal—you need to plead fact and all of those facts need evidentiary support or believe you are able to get the support
    - (4) the *denials* are "warranted on the evidence" or "reasonably based on belief or a lack of information."
  - *(1) and (2) focuses on facts the other focuses on legal arguments
    - You need to be explicit that your argument is asking for a change or extension or modification of law
  - (3) and (4) need facts or evidentiary support and factual allegations and denials can only be made after you made an inquiry about the facts

***HAYS v. SONY CORP. OF AMERICA—847 F.2d 412 (1988)***

- copyright suit
- In 1982 or 1983 they prepared a manual for their students on how to operate the school's DEC word processors, and distributed copies to students and to other faculty members

- In 1984 the school district, having bought word processors from Sony Corporation of America gave Sony the plaintiffs' manual and asked Sony to modify it so that it could be used with Sony's word processors
- The district court dismissed for failure to state a claim

Holding

- It appears that Sony either believed that the manual it was asked to modify was not copyrighted or believed that the school district owned the copyright. Either belief would have been reasonable; the manual contained no copyright notice or other attempted reservation of rights.…
- Every request that the plaintiffs made for monetary relief thus was frivolous, yet they might have been entitled to an injunction, for they may have had a valid statutory copyright that was infringed

Rule

- Rule 11 demands "an objective determination of whether a sanctioned party's conduct was reasonable under the circumstances
- the amount of investigation required by Rule 11 depends on both the time available to investigate and on the probability that more investigation will turn up important evidence; the Rule does not require steps that are not cost-justified

***HUNTER v. EARTHGRAINS CO. BAKERY—281 F.3d 144***

Background Facts

- Ms. Hunter and co-counsel filed a class action suit on behalf of former employees against Earthgrains
- The district court granted summary judgment for Earthgrains, concluding in part that the plaintiffs were obligated to arbitrate under the Earthgrains CBA

Rule

- the primary purpose of sanctions against counsel is not to compensate the prevailing party, but to "deter future litigation abuse."
- We have recognized that maintaining a legal position to a court is only sanctionable when, in "applying a standard of objective reasonableness, it can be said that a reasonable attorney in like circumstances could not have believed his actions to be legally justified."

Holding

- Although Ms. Hunter and the other lawyers (i.e., her co-counsel and the lawyers for Earthgrains) failed to provide the court with a thorough exposition on the circuit split and the Supreme Court's decision in Wright, their lack of thoroughness does not render her position frivolous.
- Because Ms. Hunter's legal contentions in the … [lawsuit] on the issue of arbitrability were not frivolous, her suspension from practice in the Western District of North Carolina on this basis does not withstand scrutiny.

- **Rule 11(c)(4) – Nature of Available Sanctions**
  - *"A sanction imposed under this rule must be limited to what suffices to deter repetition of the conduct . . . ."*
  - Examples listed in the rule:
    - Nonmonetary sanctions (e.g., censure; education);
    - Order to pay a penalty to the court (not opposing counsel);
    - Only if "warranted for effective deterrence," an order directing payment to opposing counsel of "part or all of the reasonable attorney's fees and other expenses directly resulting from the violation."
  - Sanctions are not supposed to be punitive but enough to stop the attorney from committing the conduct

- **Rule 11(c)(2) – Procedure for Seeking Rule 11 Sanctions**
  - *"A motion for sanctions must be made separately from any other motion and must describe the specific conduct that allegedly violates Rule 11(b)."*
  - Motion cannot be filed until *21 days after it is served* on the opposing party, because the opposing party must be given an opportunity to withdraw or correct the "challenged paper, claim, defense, contention, or denial." – give the other side the opportunity to fix the problem
    - Write motion
    - Serve on the other party
    - Wait 3 weeks before they file it with the court – cooling off period
- **Rule 11(d) – Inapplicability to Discovery**
  - "This rule does not apply to disclosures and discovery requests, responses, objections, and motions under Rules 26 through 37."
- **28 U.S.C. § 1927**
  - Any *attorney*. . . who so multiplies the proceedings in any case *unreasonably and vexatiously* may be required by the court to satisfy personally the excess costs, expenses, and *attorneys' fees* reasonably incurred because of such conduct.

## Rule 15 – Pleading Amendments

- **Checklist**
  - 15(a): pretrial amendments
    - Amendments as a matter of course
    - Other amendments
  - 15(c): relation back
    - As law allows
      - Claims
      - Parties

- **Framework:** IRAC 1: Is it within the 21 day period?
- **F.R.C.P. 15 (a)(1) Amendments as of Right**
  - A party may amend its pleading *once* as a matter of course within:
    - (A) *21 days* after serving it [if the pleading is an answer]; ***OR***
    - (B) if the pleading [complaint, a counterclaim, a x-claim, or a third party claim], 21 days after service of [the answer or a Rule 12 motion], whichever is earlier.
- **F.R.C.P. 15 (a)(2) Discretionary Amendments**
  - In all other cases, a party may amend its pleading *only* with the *opposing party's written consent* OR the court's *leave*. The court *should freely give* [permission to amend] *when justice so requires.*
- **F.R.C.P. 15 (d) Supplemental Pleadings**
  - On motion and *reasonable notice*, the court may, on just terms, permit a party to serve a *supplemental pleading* setting out any *transaction, occurrence, or event* that happened *after* the date of the pleading to be supplemented. [ ]
- **Amendments to Pleadings - Summary**
  - ***When can a party amend her Complaint or her Answer?***
    - (1) If the pleading is a complaint, plaintiff has a *right* to amend the complaint *once*, no later than 21 days *after* the defendant serves the answer (or files a motion under Rule 12(b), 12(e), or 12(f)); if the pleading is an answer, defendant has a right to amend the answer once within 21 days of serving it;
    - (2) Whenever the opposing party *consents* to the amendment;
    - (3) Whenever the *court agrees to let the party amend*;
      - permission is typically given so long as there is no *bad faith;*
        - *hard to show—that the party
      - the opposing party will *not* be *prejudiced* by the amendment; **and**

- the amendment would not be *futile*.
    - *when you do not have consent or are outside of the 21 day window

- NOTES:
    - Every time the P amends the complaint they can answer or move to dismiss.
    - D would need to respond to it
    - Plaintiff and Defendant gets one free amendment without permission - After response, you have 21 days to respond
    - When responding to something including waivable affirmative defenses you can amend to add within the 21 days.
    - The non-waivable things, it doesn't waive, but you would have to get permission

**LA Notes**

- **Rule 15 Amendment**
    - ***Common scenarios***
        - You messed up the first time
        - You learned new facts during discovery and want to change your complaint accordingly
        - New things happen and they are in some way related to your existing claims
    - ***Rule 15(a) Pre-trial amendments***
        - **15(a)(1) Amending as a matter of course**. A party may amend it's pleading once as a matter of course within
            - 21 days after serving it [**OR**]
            - If responding pleading is required – 21 days after service of the responsive pleading
                - Responsive pleading is required in a complaint
                - Responsive pleading is not required in an answer
                - 21 days from whatever the last bug thing that happened was
                - Example: 32 days after Δ files an answer
        - **15(a)(2) Other amendments**. In all other cases a party may amend its pleading only with the opposing party's written consent for the court's leave. The court should freely give leave if justice requires

***Beeck v. Aquaslide 'N' Dive Corp.***

- Water slide accident
- D wants to amend their answer because after the president inspected the slide, he realized it was not their slide even though 3 insurance companies did not realize the slide was not Aquaslide's
- Not within the 21 day window
- The SOL expired
- D files under FRCP 15(a)(2)

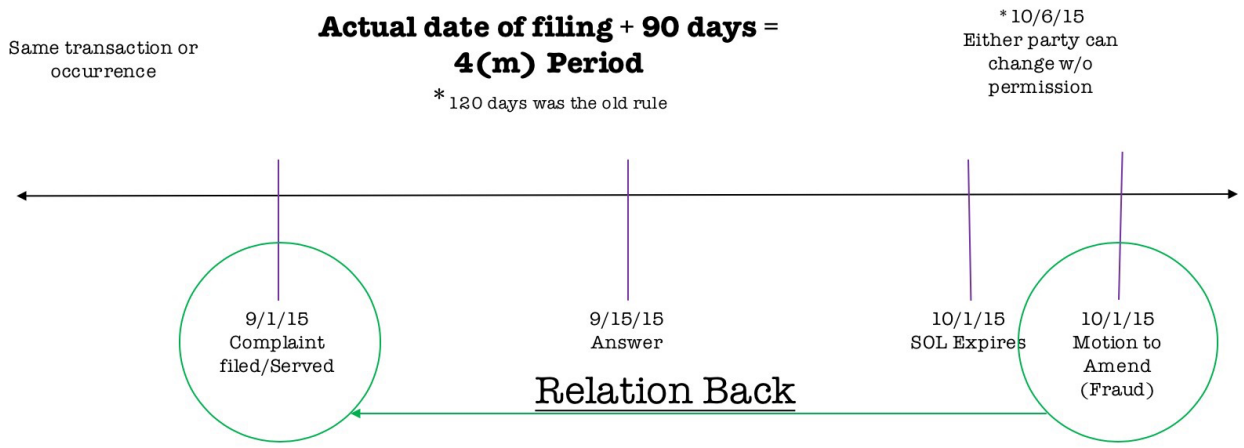
**Rule**: The party opposing the motion to amend must demonstrate prejudice from such amendment.

- The trial court determined that there was no evidence of "bad faith, prejudice or undue delay."
- Defendant's reliance on three insurance companies' determinations that Defendant manufactured the slide demonstrates that the admission was made in good faith.

    - Questions to consider:
        - How close to trial?
        - Are the parties going to have enough time to prepare?
        - Relevant fact spotting:
            - Discovery - how close, timing?
        - NOTE: As you near the trail date it gets hard to respond

- **F.R.C.P. 15 (a)(3) Time to respond to amended pleadings**
  - Unless the court orders otherwise, any required response to an amended pleading [typically an answer in response to an amended complaint] must be made *within the time remaining to respond to the original pleading* or within ***14 days*** after service of the amended pleading, whichever is *later*.
- **F.R.C.P. 15 (b) – Amendments to Conform to the Evidence Presented at Trial**
  - (1) If, *at trial*, a party objects that evidence is not within the issues raised in the pleadings, the court ***may*** *permit the pleadings to be amended.* The court should *freely permit* an amendment when doing so will aid in presenting the merits and the objecting party fails to [show *prejudice*]. . .
    - The key is to show prejudice meaning "I was not put on notice… because it was too late at trial"
    - Was there anything presented before trial to put the party on notice of the amendment
  - (2) When an issue not raised by the pleadings is tried by the parties' *express or implied consent*, it ***must*** be treated in all respects as if raised in the pleadings. A party may move – at any time, even after judgment – to amend the pleadings to conform them to the evidence. . .
    - See 1
      - Putting him on notice
      - If they would possibly want to have time to challenge it and never brought up
      - Did not mention, did not produce any documents, evidence
    - See 2
      - Express or implied consent when you don't object
      - The lawyer would need to object to the information above, basically waives the right if the lawyer doesn't object - it is as if you amended the pleading at trial
      - Cannot object later on if you don't object. Even if you aren't put on notice

## Rule 15 – Pleading Amendments—Relation Back



- **F.R.C.P. 15 (c) - Relation Back of Amendments – Adding New Claims or Defenses**
  - (1)An amendment to a pleading relates back to the date of the original pleading when:
    - (B) the amendment asserts a claim or defense that *arose out of the conduct, transaction, or occurrence* set out – or attempted to be set out – in the original pleading. . .
  - Note: Same transaction or occurrence is the key rule = common nucleus of operative facts (CNOF in supplemental jdx)

***Bonerb v. Richard J. Caron Foundation***
Π slipped and fell while playing basketball at Δ's facility
Π tries to add a new COA after the SOL has expired
Π can add claim because it arises from same transaction and occurrence and relates back

- Relation back claims the court must determine**:**
  - Is it time barred?
  - If it is not time barred, would justice be served if we allowed?
    - Bad Faith
    - Prejudice
    - Futility
- **F.R.C.P. 15 (c) - Relation Back of Amendments – Adding New Parties**
  - (1)An amendment to a pleading relates back to the date of the original pleading when:
    - (C) the amendment *changes the party* . . . against whom a claim is asserted, if [the claim arises from *same conduct, transaction, or occurrence* as original pleading] **AND** [w/in *90 days* of filing the complaint], the party to be brought in by amendment:
      - (i) received such *notice* [to avoid prejudice]; **AND**
      - (ii) *knew or should have known* that the action would have been brought against it, but for a *mistake* concerning the proper party's identity.
- NOTES:
  - Comes up most often to new claims, new cause of action
  - The only time we care about relation back is statute of limitations
  - If you figure out you want to add a claim until after SOL expired
  - Time barred claim, if related back a magic want waives and it is now able to be added and is not time barred anymore
- **Breakdown of FRCP §15(c) – When can you amend the complaint to replace the original D with a new D?**
  - 1) Has the SOL on the claim against the new defendant expired?
    - If not, P can probably amend the complaint to add the new defendant. (relation back not required)
  - 2) If SOL expired *after* original complaint was filed but *before* P asks to add new D to the complaint, apply 15(c)(3) to determine whether the amendment will relate back (and P can sue new D). *[did the Π make an error?]*
    - (1) When did P file the original complaint? Add 90 days (3 months) to that date. *= window did the proper Δ receive notice of the suit and know that but for Π's mistake the proper Δ would be served*
      - *Reasoning is they would not be worse off if they had been named in the suit*
    - (2) Do the claim(s) against the new D arise from the same transaction/occurrence as the original claim(s) in the complaint?
    - (3) Did P make a "mistake" in suing the wrong D?

        - (4) On or before the relevant date (filing date + 90 days), did the new D receive notice of the suit and know that P's failure to sue it (instead of the original D) was a mistake?
    - If the answer to 2, 3, and 4 is yes, P can amend the complaint to add the new D. If the answer to any question is no, P's amendment will not "relate back" and P cannot sue the new D, as the claim will be time barred.

***Krupski v. Costa Crociere***

- Krupski tripped over a camera cable in the ship's theater and fractured her femur. She filed a personal injury action against "Costa Cruise Lines N.V., L.L.C." on February 1, 2008 and properly served it on February 4, 2008
- Krupski dismissed the claim against Costa Cruise without prejudice and moved for leave to add "Costa Crociere S.p.A." as a defendant on July 11, 2008, which the court granted

**Issue**: Did Π sue the correct Δ? Was suing the wrong Δ a mistake?

**Timeline of Event**

- 2.21.2007—DOI
- 2.1.2008—Filed complaint
- 2.21.2008—SOL expires
- 6.1.2008—Rule 15(c) expires
- 7.18.2008—Motion for leave to amend filed

**Rule**: There was an error → it is a misnomer mistake, not a deliberate mistake. The correct Δ should have known and did know because they shared the same agent for service.

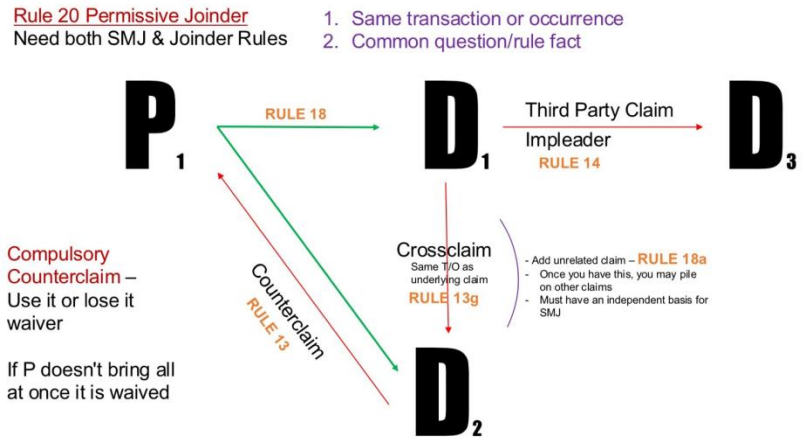
**LA Notes**

- **Rule 15 Amendment**
    - ***Rule 15(c) Relation back***
        - Statute of limitations problem with amendment
            - Comes into play with there is a SOL problem
            - File a claim before SOL and in discovery after SOL has expired you find an extra cause of action that you could have brought. Now you cant bring a new COA because SOL has passed. 15(c) allows you to amend your complaint and submit it for the prior date fo the original filing as long as you meet the requirements. Relates the date of the amendment back to the date of filing the complaint
    - **15(c)(1) when an amendment related back**. Amendments relates back to the date of the original pleading when
        - Applicable <u>law allows it</u>. When SOL says so [**OR**]
        - <u>Adding a related claim</u>. Defense against existing party when arose out of original pleading conduct/ transaction [**OR**]
        - When
            - Adding party
            - To existing claim
            - If new party knew of the lawsuit within 90 days if filing [**AND**]
            - But for "mistake" new party would have been names originally
                - Of you want to add a party and you need to relate back because SOL has passed
                - Mistakes in identity
                - The party knew about the lawsuit within 90 days

## Rule 18—Joinder of Claims

**Checklist**

- ***18: General Rule***
- ***42: Separate Trials***
- ***19: Compulsive Joinder***
  - *19(a): necessary parties*
    - *IRAC* 1: determine if the party is necessary?
    - *IRAC* 2 (if you answered yes in #1): can the court add them?
      - **If the party is necessary and there is SMJ or PJ then they can be added
  - *19(b): indispensable parties*
    - *IRAC* 3: (if applicable): determine of the party is indispensable
      - **If the party is necessary & no PJ and no SMJ
      - **If you determine the party is indispensable:
        - Should the court
        - Dismiss the action
        - Continue the lawsuit without the indispensable party
- ***20: Permissive Joinder***




- ***Claims involving existing parties***
  - 13(a): compulsory counterclaim
  - 13(b): permissive counterclaim
  - 13(g): cross claim (CNOF)
- ***Claims involving 3rd parties***
  - 14: impleader
  - 22: interpleader
  - ***24: intervention***
    - Permissive
      - Timely
      - CNOF
    - Right
      - Timely
      - Intervenor has an interest
      - Resolution of action could impair or impede interest
      - Intervenors not already represented

## Rule 18—Joinder of Claims

- **Rule 18 (a) Joinder of Claims**
  - A party asserting a claim, counterclaim, crossclaim, or third-party claim, *may* join, as independent or alternative claims, *as many claims as it has* against an opposing party.
  - Notes:
    - Common law doctrine: Claim preclusion = res judicata; bring all related claims at once otherwise you waive them
    - Nothing in the FRCP says the Π has to bring all claims at once, but the common law does
    - If someone wants to do two separate suits then they can
    - Rule 18 is super broad
    - The claims don't need to be related
    - If one plaintiff sued one defendant for SMJ - they can add up to reach the threshold

        - Reason why joinder are expansive because cost and efficiency - efficiency is reduced when they are unrelated. Also, can drag out. Possibly confuse jury. Could be prejudicial. Delay.
- **Rule 18 (b) joinder of contingent claims**.
    - A party may join 2 claims even though one of them in the contingent on the disposition of the other, but the court may grant relief only in accordance with the parties relative substantive rights, in particular, if a Π may state a claim that Π without first obtaining judgement for money

**Rule 42**

- ***Rule 42 (b) Separate Trials(IRAC if applicable)***
    - For *convenience*, to *avoid prejudice*, or to *expedite and economize*, the court may order a separate trial of one or more separate issues, claims, crossclaims, counterclaims, or third-party claims.
- ***Rule 42 (a) Consolidation (IRAC if applicable)***
    - If actions before the court involve a *common question of law or fact,* the court *may:*
        - join for hearing or trial any or all matters at issue in the actions; [**OR**]
        - consolidate the actions; **OR**
        - issue any other orders to avoid unnecessary cost or delay.

## Rule 20—Permissive Joinder of Parties

- **Rule 20 (a)(1) Permissive Joinder of Parties [plaintiffs]**
    - Persons may join in one action as plaintiffs if:
        - they assert any right to relief jointly, severally, or in the alternative . . . *arising out of the same transaction, occurrence. . .*; **AND**
        - any *question of law or fact* common to all plaintiffs will arise in the action.
    - Note: Multiple Π's; 2 elements to meet; don't have to join together but can
        - Same transaction or occurrence
        - Common question of law or facts
- **Rule 20 (a)(2) Permissive Joinder of Parties [defendants]**
    - Persons. . . may be joined in one action as defendants if:
        - any right to relief is asserted against them jointly, severally, or in the alternative . . . *arising out of the same transaction, occurrence. . .*; **AND**
        - any *question of law or fact* common to all defendants will arise in the action.
    - Note: Multiple Δ's; 2 elements to meet; don't have to join together but can
        - Same transaction or occurrence or Common question of law or facts

***Hohlbein v. Heritage Mutual Insurance Co.***

- 4 Π suing 1 Δ with 3 independent COA
- Common transaction or occurrence: misrepresentation of employment probation and terms of employment agreement → alleging pattern and practice of making misrepresentations of employment
- Common question of law and facts: Whether the Δ misrepresented the key terms of employment?
- Δ's wants to try each Π's case separately →Δ made a motion to severe → motion DENIED

**LA Notes**

- Permissive joined is used if there is a common question of law or fact
- **Rule 20 (a)(1) Permissive Joinder of Parties (Plaintiffs)**
    - Claims share CNOF and
    - **Common question of law or fact
        - The judge can make one decisions that would solve both of them

    - Π adding Π in diversity action cannot use 1367 (13, 19, 20, 24)
        - Must find independent basis for SMJ
        - Must have original SMJ and not supplemental jdx
- **Rule 20 (a)(2) Permissive Joinder of Parties (Defendants)**
    - Can join if any question of law or fact is common to all Δ
    - Must have original SMJ (cannot have supplemental jdx)

## Rule 13—Counterclaims and Cross Claims

- **Counter Claim**
    - ***Compulsory***: Arise out of the same transaction or occurrence
        - If you do not raise the claim, you waive it
    - ***Permissive***: Does not rise out of the same transaction or occurrence
        - Covered under Rule 13 so the court can hear it regardless of SMJ or PJ
    - ***Rule 13 (a) Compulsory Counterclaims***
        - A pleading ***must*** state as a *counterclaim* any claim that -- at the time of its service -- the pleader has against an opposing party if the claim:
            - *arises out of the transaction or occurrence* that is the subject matter of the opposing party's claim; **AND**
            - does not require adding another party over whom the court cannot acquire jurisdiction.
        - *Rule 13 (a)(2) Compulsory Counterclaims – Primary Exception*
            - A counterclaim is *not* compulsory, even if the requirements of 13(a)(1) are satisfied, if:
                - "when the action was commenced, the claim was the subject of another pending action"…
        - Note: you allege the claim or you waive it
    - ***Rule 13 (b) Permissive Counterclaims***
        - A pleading *may* state as a counterclaim against an opposing party any claim that is *not* compulsory.
- **Cross Claim**
    - ***Rule 13 (g) Crossclaim Against a Co-party***
        - A pleading *may* state as a *crossclaim* any claim by one party against a coparty *if* the claim arises out of the *transaction or occurrence* that is the subject matter of the original action or of a counterclaim, or if the claim relates to any property that is the subject matter of the original action.
    - Notes:
        - Will always be covered by supplemental jdx because it arises out of the same transaction or occurrence
        - Once you have a proper crossclaim that arises out of the same transaction (covered under supplemental) or occurrence you can pile on other claims that are unrelated
            - The additional claims that are unrelated need to have original jdx (federal question or diversity)

**LA Notes**

- Have to bring up in original answer otherwise you waive it
- Elements
    - (1) Same transaction or occurrence
    - (2) Does it require the addition of another party whom the court cannot acquire jdx
- If it not compulsory, you can asset it at any time

## Rule 14—Impleader (Third Party Claims)

- **Rule 14 (a) Impleader (When D may bring in third party)**
  - A defending party may, as a third-party plaintiff, serve a summons and complaint on a nonparty who *is or may be liable to it for all or part of the claim against it.* But the third-party P must, by motion, obtain the court's leave [permission] if it files the third-party complaint more than *14 days* after serving its original answer.
  - Notes:
    - The only type of claim a Δ can use to bring in a 3rd party → indemnity (liable for entire amount) or contribution claims (liable for part entire amount)
    - Covered under supplemental jdx
    - Once you have a proper 3rd party that arises out of the same transaction or occurrence you can pile on other claims that are unrelated
      - The additional claims that are unrelated need to have original jdx (federal question or diversity)

***King v. Blanton***

- July 14, 2010: complaint filed by Blanton v. King (saying King ran the light) → settled
- King then sued Blanton saying Blanton ran the red light
- Because the case settled in Blanton v. King, King cannot bring another lawsuit because she waived he right by settling the first suit

***Erkins v. Case Power & Equip. Co.***

- Erkins was riding in the bucket of the backhoe and got ran over by wheels
- Failure to warn was the theory of liability here
- Δ Case wants to add 2 additional Δs (Fitzpatrick and Ecracom)
- **When added new impleader Δs**
- When deciding to ass the 3rd parties the court needs to look at
  - Timeliness
  - Undue delay and complications
  - Prejudice to Π
  - futility

- **28 U.S.C. § 1367(a) Supplemental Jurisdiction**
  - ***General Rule in Federal Question Cases***
    - *[Except in diversity cases and subject to the court's discretion],* in any civil action of which the district courts have original jurisdiction, the district courts shall have *supplemental jurisdiction* over *all* other claims that are so related to claims in the action within such original jurisdiction that they form part of the *same case or controversy* under Article III of the US Constitution. Such supplemental jurisdiction shall include claims that involve the joinder or intervention of additional parties.
- **28 U.S.C. § 1367(b) Supplemental Jurisdiction**
  - ***Limitations in Diversity Cases***
    - In any [diversity] action . . ., the district courts shall *not* have supplemental jurisdiction . . . over *claims by plaintiffs* against persons made parties under Rule 14, 19, 20, or 24 of the FRCP, or over claims by persons

proposed to be joined as plaintiffs under Rule 19. . ., or seeking to intervene as plaintiffs under Rule 24. . . , when exercising supplemental jurisdiction over such claims would be inconsistent with the jurisdictional requirements of § 1332

**LA Notes 1**

- Δ claims that some other party is actually responsible in full or in part and wants to pass the blame on to the 3rd party if they are found responsible
- Δ may file against 3rd party w/in 14 days—If more than 14 days, need court permission
- Rule 14 and 1367(b)
  - 3rd party is not another Δ to the Π so you don't need to worry about where 3rd party is from
    - Only one time it matters is when Π wants to add 3rd party using rule 20
  - Π can add 3rd parties using supplemental
  - Π in pure diversity adding 3rd party as regular Δ ( wouldn't be impleader then) must maintain diversity even when using 1367 – Δ can use 1367 to bring in 3rd party
- Contribution: 2 or more parties are contributing to damages/ partly liable
- Indemnity: paying for the whole thing/ fully liable

**LA Notes 2**

- Indemnity claim
- Impleading a 3rd party
- 14 days after the answer and if not then you need to obtain the court's permission
- Service like you would serve any other party
- 4 requirements/ elements **(AND)**
  - Timely
  - Evaluate whether the impleaded party will complicate or delay trial; unduly delay or complicate
  - Will the added party prejudice any of the existing parties
  - The claim to interplead must have merit
    - Is someone trying to reach?
- If one of the requirements is not met then Rule 14 doesn't exist
- **need to have SMJ and PJ to implead another party

## Rule 19—Mandatory Joinder

- **Rule 19 (a)(1) Required Joinder of Parties**
  - A person who is *subject to service of process* and whose joinder *will not deprive the court of SMJ* ***must*** be joined as a party if:
    - (A) in that person's absence, the court *cannot accord complete relief* among existing parties; **OR**
    - (B) that person *claims an interest* relating to the subject of the action and is so situated that disposing of the action in the person's absence may:
      - (i) as a practical matter *impair or impede the person's ability to protect the interest*; **OR**
      - (ii) leave an *existing party* subject to a substantial risk of incurring double, multiple, or otherwise *inconsistent obligations* because of the interest.

- **Notes**: the outside party does not want to be a party, but may have to be made a party because the case may not go forward without them
- ***Who is a "Person Required to be Joined if Feasible (PJF)"?***
  - (1) Will the court be unable to give complete relief to the existing parties in the absence of the PJF? **OR**
    - Yes. Move to question 2.
    - No. Not feasible to join the party – See Rule 19(b)
  - (2) Does the PJF have an interest in the lawsuit that s/he needs to protect by being a party to the lawsuit? **OR**
  - (3) Will existing party be prejudiced if the PJF not made a party to the lawsuit?
  - If the answer to 1, 2 **OR** 3 is YES, then the PJF *must* be joined, so long as the PJF is subject to personal jurisdiction where the case has been filed, and the addition of the person to the lawsuit will not destroy subject matter jurisdiction (only relevant in diversity cases).

- **Rule 19 (b) When Joinder Is Not Feasible**
  - If a person who is required to be joined if feasible cannot be joined, the court must determine whether, *in equity and good conscience*, the action should proceed among the existing parties or should be dismissed.
  - ***Rule 12 (b)(7) Motion to Dismiss for Failure to Join***
    - [A] party may assert the following defenses by motion [or by inclusion in the Answer as an affirmative defense]:
      - Failure to join a party under Rule 19
- **Rule 19 (b) – Factors considered in determining whether to dismiss when PJF cannot be joined**
  - (1) the extent to which a judgment rendered in the person's absence might *prejudice* that person or the existing parties;
  - (2) the extent to which any prejudice can be *lessened or avoided* by:
    - (A) protective provisions in the judgment;
    - (B) shaping the relief; **OR**
    - (C) other measures
  - (3) whether a judgment rendered in the person's absence would be *adequate*; and
  - (4) whether the plaintiff would have an *adequate remedy* if the action were dismissed for nonjoinder
- **Rule 19 - Summary**
  - (1) Is the missing party a PJF?
    - Can parties get complete relief alone; **or**
    - Does missing party have an interest to protect in the lawsuit;
    - Will anyone be prejudiced if missing party is absent.
      - If no, then the missing party should not be joined.
      - If yes…
  - (2) Is it feasible to join the PJF?
    - [PJ and SMJ]
    - If yes, then PJF should be joined.
    - If no…
  - (3) Courts balance factors to determine whether it would be fairer to dismiss the case or go forward without the PJF.
    - Prejudice to missing or existing parties – how much? Can court reduce prejudice by the form of the judgment?
    - Adequacy of the judgment w/out missing party
    - Will the P have an adequate remedy if case is dismissed?

***Torrington Co. v. Yost***

- Trade secrets case
- On June 4, 1991, Torrington filed suit against Yost seeking, among other things, an injunction limiting Yost's employment at INA for eighteen (18) months, and actual damages from the alleged use of Torrington's trade secrets.
- Yost moved to dismiss under Rule 19 of the Federal Rules of Civil Procedure for failure to join Yost's new employer, INA, as an indispensable party
- Case is dismissed for failure to join a party—dismissed without prejudice → so Π can file elsewhere with all the necessary parties.

**LA Notes**

- Compulsory joinder is used when there may not be a common question of law or fact and you need to determine if the party you want to join is necessary or not
- Party should be included if they can be – not necessary but we would really love to have you or turns out we cant get PJ or would destroy diversity
- Applicable to both Π or Δ
- ***Rule 19(a) Necessary parties (IRAC #1)***
    - If no PJ or SMJ problems and continuing lawsuit without would [**OR**]
        - Deny complete relief to existing parties
            - Need both homeowners involved if both of the names are on the records
        - Hurt absent party's future interest (cannot file later)
            - Impairs Π's ability to own the home
        - Hurt existing party's future interest (potential inconsistent results of future suit)
            - Inconsistent – you cant both be individual owners of the house
            - If they were tried in different courts there would be different outcomes
    - **If the court answers yes to any of the 3 above questions = necessary party
        - Determine if there is SMJ or PJ ***(IRAC #2)***
            - If there is 19(a) and no PJ or SMJ then go to indispensable party
        - If 19(a) and SMJ or PJ is met that party can be added – you **must** add them in
- ***Rule 19 (b) Indispensable parties(IRAC #3 –if applicable)***
    - So crucial to outcome that it's not worth having a lawsuit if they're not part of it (cannot go forward without you)
    - Only when you walked through 19(a) and you've answered yet to at least one of them and you can't add them in
    - Case will continue without absent party or be dismissed pending on [**AND**]
        - Extent of prejudice to absent and existing parties (what we talked about in 19(a)
            - Pros/cons of adding this new party for each of the parties in the lawsuit
        - Possibility of minimizing prejudice
        - Whether judgement rendered in person's absence can be adequate
        - Whether Π was alternate remedy if action is dismissed (big one)
            - if there is no other option –hard for the court to dismiss (kind of like forum non conveniens)
            - filing in state court = alternative remedy
        - Lawsuit will be dismissed if party is indispensable

## Rule 24—Intervention: Permissive and Mandatory

- **Mandatory: When does a nonparty have a "right" to intervene under Rule 24(a)?**
  - Application must be *timely.*
  - Proposed intervenor must have *a substantial legal interest* relating to the subject of the action.
  - Resolution of the action may *impair or impede* the proposed intervenor's ability to protect that interest. [**and**]
  - Proposed intervenor's interest must *not* already be *adequately represented* by the existing parties
    - The existing parties will not bring your interest/ arguments
  - *If all 4 are satisfied – intervention must be granted and no court discretion
- **Permissive: When will a nonparty be *permitted to* intervene under Rule 24(b)?**
  - Application must be *timely.*
    - No strict requirement of timely
      - As long as trial has not started or the night before trial or something like that
    - Courts have liberal discretion
  - Proposed intervenor's claim or defense must share a *common question of law or fact* with the main action.
  - Intervention must not *unduly delay or prejudice* the adjudication of the original parties' rights.
    - Court has discretion to grant/deny

***Gratz v. Bollinger***

- 2 cases from separate appellate courts consolidated into this matter
- *Gratz v. Bollinger (Suing University of Michigan –College of Arts and Sciences)*
  - 2 white applicants denied admission to the University of Michigan
  - and are saying the college admission policy violated the 14th amendment
    - The intervenors are 17 African American and Latinos who have applied or intend to they want to keep the policy the way it is and want to intervene as Δs
- *Grutter v. Bollinger(Suing University of Michigan –Law School)*
  - 1 white woman denied admission to the University of Michigan and has the same cause of action for admission practices violating the 14th amendment
    - Intervenors are 41 students and 2 pro-affirmative action coalitions, they want to keep the policy the way it is and want to intervene as Δs

## Interpleader Statutory and Rule 22

- Notes:
  - Stakeholder and claimant
  - Statutory and Rule 22
  - Insurance companies love interpleader
  - Statutory is a lot broader
  - Stakeholder (P) - Similar to P but not plaintiff b/c doesn't always have interest
- **Rule 22 v. Statutory**
  - Rule 22 is where there is one thing to recover (Rolex watch) and Susan and Billy are both trying to recover. Defendant can interplead both defendants.
  - Statutory is where insurance companies interplead multiple plaintiffs so they do not have 20 separate suits against them.

| Rule 22 & Statutory Interpleader | Disinterested stakeholder req'd? | Basis for Personal Jurisdiction? | Basis for SMJ (amount in controversy)? | Basis for SMJ (diversity)? | Basis for venue | Stakeholder req'd to deposit a bond? | Ability to enjoin other lawsuit? |
|---|---|---|---|---|---|---|---|
| **Rule 22 Interpleader** | No - action "in the nature of" interpleader OK | Normal rules apply; PJ established by minimum contacts or residence | Normal rules apply; amt in controversy must exceed $75,000 | Complete diversity req'd - P/stakeholder cannot reside in the sam estate as any D/claimant | Normal venue rules apply | Not explicitly required by rule 22 | PRO YES - but ability to enjoin other suits is not express |
| **Statutory Interpleader** | No - action "in the nature of" interpleader OK (§1335(a)) | PJ established by service of process anywhere in the US 4(k)(1)(C ) | Amt in controversy must be at least $500 | Minimal diversity among claimants req'd (at least 2 claimants/D must be from different states (§1335(a)(a) | Venue is proper in any judicial district where one claimant resides (in addition to normal venue rules)(§1397) | YES §1335(a)(2) | YES - ability to enjoin other suits is expressly stated by statute (§2361) |

**Statutory Interpleader**

- **Venue**
  - ***§ 1397 - Interpleader [venue]***
    - Any civil action of interpleader or in the nature of interpleader may be brought in the judicial district in which *one or more of the claimants reside*.
  - **Note**:
    - Normally with venue all of the claimants will need to be in the same state, but this one just one claimant needs to reside in that venue
    - Statutory choice, did not eliminate, just made them less restrictive
- **Personal Jurisdiction**
  - ***Rule 4(k)(1)(c) – Interpleader (PJ)***
    - Service of a summons . . . is effective to establish *jurisdiction over the person of the defendant*. . . who is subject to the federal interpleader jurisdiction under 28 U.S.C. § 1335. . . .
- **Subject Matter Jurisdiction**
  - ***§ 1335 (a) - Interpleader [SMJ – Amt in Controversy]***
    - The district courts shall have *original jurisdiction* of any civil action of interpleader or in the nature of interpleader filed by any person. . . having in his. . . possession money or property [worth] ***$500 or more.*** . . if. . . . . [minimal diversity exists]
  - ***§ 1335 (a)(1) - Interpleader [SMJ – Minimal Diversity Required]***
    - SMJ exists in an interpleader action when:
      - (1) *Two or more adverse claimants*, of *diverse citizenship* as defined in section 1332 of this title, are claiming or may claim to be entitled to such money or property [worth at least $500]. . .; **AND** if
      - (2) the plaintiff has *deposited* such money or property. . . into the registry of the court, there to abide the judgment of the court, or has given bond.

    - **NOTE**: Diversity must be among claimants (CA, CA, CA, CA, WA = minimal diversity and is okay)
- **§ 2361 [Statutory Interpleader – power to enjoin other lawsuits]**
    - In [a statutory interpleader action], a district court may issue its process for all claimants and enter its order *restraining them from instituting or prosecuting any proceeding in any State or US court affecting the property*. . . involved in the interpleader action until further order of the court. [ ]

**Rule 22(a) - Interpleader**

- (1) Persons with claims that may expose a plaintiff to *double or multiple liability* may be joined as defendants and required to interplead. Joinder for interpleader is proper even though:
    - (A) the claims of the several claimants. . . lack a common origin or are adverse and independent rather than identical; **OR**
    - (B) the plaintiff denies liability in whole or in part to any or all of the claimants.
- (2) A defendant exposed to similar liability may seek interpleader through a crossclaim or counterclaim.
- **Rule 22(a)(2)(b) – Interpleader (relation to statutory interpleader)**
    - The remedy this rule provides is *in addition to* – and *does not supersede or limit* – the remedy provided by 28 U.S.C. §§ 1335, 1397, and 2361.
- **Things you need to know:**
    - What is an interpleader
    - When is it used
    - What is the different between statutory and rule 22 interpleader

**LA Notes**

- Δ claims that some other party is actually responsible in full or in part and wants to pass the blame on to the 3rd party if they are found responsible
- Δ may file against 3rd party w/in 14 days—If more than 14 days, need court permission
- Rule 14 and 1367(b)
    - 3rd party is not another Δ to the Π so you don't need to worry about where 3rd party is from
        - Only one time it matters is when Π wants to add 3rd party using rule 20
    - Π can add 3rd parties using supplemental
    - Π in pure diversity adding 3rd party as regular Δ ( wouldn't be impleader then) must maintain diversity even when using 1367 – Δ can use 1367 to bring in 3rd party
- Contribution: 2 or more parties are contributing to damages/ partly liable
- Indemnity: paying for the whole thing/ fully liable

## Rule 23—Class Actions

***23: Class actions***

- Define Class
- How is definition met
    - Numerosity
    - Commonality
    - Typically
    - Adequacy of Representation
- Type of Class Action
    - not allowing class action would prejudice Π, Δ, or absent parties
    - Π class seeks only injunctive/ declaratory relief
    - Damages action: Πs are seeking money
        - Common question of law or fact predominate over individual questions **AND**
        - Class action is superior to individual lawsuits

**The Due Process Requirements of Class Representation**

***Hansberry v. Lee***

Class action of suit to prevent African Americans (AA) from purchasing a home in a certain community

- *Olive Burke v. Kleiman*
  - Kleiman wanted to sell home to an AA family
  - Burke filed suit to prevent Kleiman from selling the home
  - Class rep = Olive Burke
  - Dispo: 95% of the families in the neighborhood signed on covenant to prevent AA from living in their neighborhood
  - SCOUS upholds the covenant
- *Hansberry v. Lee*
  - James Burke (Olive Burke's husband) wants to see their home to an AA family
  - Court determined the class referenced in Burke v. Kleiman was not representative of the claimed class
  - Requirements to bind someone to a judgment of a lawsuit
    - Notice and opportunity to be served
      - Did not happen in Burke v. Kleimen
      - Not bound unless you are made a party, unless you are a class member and adequately represented →James Burke and Hansberry were not adequately represented in Burke v. Kleiman

**Rule:** Requirement has to be a member of the class to be bound and the rep must provide adequate notice to other members under due process clause and rule 23

- Not bound unless you are made a party, unless you are a class member and adequately represented →James Burke and Hansberry were not adequately represented in Burke v. Kleiman

- ***Due Process***
  - Fourteenth Amendment, Section 1:
    - No state shall "deprive any person of life, liberty, or property, without *due process of law*. . . ."
    - "It is a principle of general application in Anglo-American jurisprudence that one is *not bound* by a judgment in personam in a litigation in which he is *not designated as a party* . . . . A judgment rendered in such circumstances is not entitled to. . . full faith and credit…." *Hansberry v. Lee.*
- ***Constitutional Basis for Recognizing and Enforcing Judgments Entered in Other States***
  - "Full faith and credit shall be given in each State to the public Acts, records and judicial proceedings of every other State."
    - U.S. Constitution, Article IV, Section 1 (Full Faith and Credit Clause)

**Summary of Requirements for Class Certification (Rule 23(a))--Elements**

- ***Sufficiently definable class***
  - Rule: need to know who is in and who is out
  - Need to know who is in the class to be able to hold them to the judgment
- ***Class representative must be a member of the class***
- ***Numerosity***
  - Rule: regular joinder impracticable
  - Need so many Π because there are so many individuals and it would not be efficient or in the interest in due process to notify everyone in the class of matter because regular joinder rule will not work
- ***Commonality***
  - Rule: class must share common question(s) of law or fact

- ***Typicality***
  - Rule: claims of class representative must be typical of the class
- ***Adequacy of Representation*** [by class rep and counsel – 23g], AND
  - No conflict between the representative of the class and the members of the class
  - Need competent counsel
- ***Must satisfy requirements of either 23(b)(1), 23(b)(2), or 23(b)(3)*** class action and provide appropriate level of notice

***In Re Teflon Products Liability Litigation***

- 23 classes –1 class per state because it was state law that was applicable
- Broken down into 3 classes
  - Individuals purchased their DuPont cookware within the SOL and retained their packaging
  - Purchased cookware within SOL; not necessarily DuPont but contains Teflon
  - Catch all all—anyone who believes they purchased cookware with Teflon but cannot prove it
- Common question of law or facts
  - 1) Whether DuPont knew or should have known that the release of chemical substances during the normal, ordinary and foreseeable use of cookware coated with its non-stick coating posed potential risk to human health;
  - 2) whether DuPont knowingly made false, public representations rethe safety of its NSCC;
  - 3) whether the class representatives' claims are sufficiently similar to the claims of prospective class members;
  - 4) whether DuPont's failure to disclose was uniform across the class;
  - 5) whether equitable relief, in whole or in part, is an appropriate remedy for DuPont's wrongful behavior; and
  - 6) whether a warning label or other appropriate disclosure should be affixed to all pots and pans made with DuPont's NSCC.

- **Rule 23(b)(1) – "Prejudice" Class Actions**
  - [P]rosecuting separate actions by or against individual class members create risk of:
    - (A) *inconsistent or varying adjudications* with respect to individual class members that would establish *incompatible standards of conduct* for the party opposing the class [the defendant], **OR**
    - (B) adjudications w/respect to individual class members that, as a practical matter, would be *dispositive* of the interests of the other members not parties to the individual adjudications or would *substantially impair or impede their ability to protect their interests*. . . .
  - Notes:
    - 2 types
      - 23(b)(1)(A)—may be brought by the Δ
        - Similar to interpleader
      - 23(b)(1)(B)
        - Similar to interpleader
        - From the perspective of the Π
- **Rule 23 (b)(2) - Injunctions or Declaratory Relief**
  - [T]he party opposing the class has acted or refused to act on grounds generally applicable to the class, so that final *injunctive relief or corresponding declaratory relief* is appropriate respecting the class as a whole. . . .
  - Notes:
    - Typically they injunction is to stop discriminating no money involved
    - You cannot opt out and file a separate lawsuit for 23b2

- **Rule 23(b)(3) – "Damages" Class Actions**
  - [T]he court finds that:
    - [1] the questions of law or fact common to class members ***predominate*** over any questions affecting only individual members, **AND**
    - [2] a class action is ***superior*** to other available methods for fairly and efficiently adjudicating the controversy.
  - Notes:
    - Π are not just seeking an injunction but wants monetary too
    - Elements
      - Predominance
      - Superiority
  - ***Certifying Rule 23(b)(3) Class Actions; Relevant Factors***
    - (A) the class members' interests in individually controlling the prosecution or defense of separate actions;
    - (B) the extent and nature of any litigation concerning the controversy already begun by or against class members;
    - (C) the desirability or undesirability of concentrating the litigation in the particular forum; **and**
    - *(D) the likely difficulties in managing a class action.*
- **Rule 23(c)(2)(A) – Level of Notice Required in (B)(1) & (B)(2) Class Actions**
  - For any class certified under Rule 23(b)(1) or (2), the court ***may*** direct ***appropriate notice*** to the class.
- **Rule 23(c)(2)(B) – Level of Notice Required in (B)(3) Class Actions**
  - For any class certified under Rule 23(b)(3), the court ***must*** direct to class members the **best notice that is practicable under the circumstances**, including ***individual notice*** to all members who can be identified through **reasonable effort**.
- **Rule 23(c)(2)(B) – Required Content of Notice in (B)(3) Class Actions**
  - The notice must clearly and concisely state in plain, easily understood language:
    - (i) the nature of the action; (ii) the definition of the class certified; (iii) the class claims, issues, or defenses;
    - (iv) that a class member [can be represented by an attny if s/he chooses to do so];
    - (v) that the court will exclude from the class any member who requests exclusion;
    - (vi) [how to request exclusion or "opt out"]; **AND**
    - (vii) [if a class member doesn't opt out, s/he will be bound].
- **Rule 23(f) – Interlocutory Appeal of Class Certification Order**
  - A court of appeals *may permit an appeal from an order granting or denying class-action certification* under this rule if a petition for permission to appeal is filed with the circuit clerk within *fourteen days* after the order is entered. An appeal does not stay proceedings in the district court unless the district judge or the court of appeals so orders.
- **Rule 23(e)(1) – Settlement, Voluntary Dismissal, or Compromise**
  - The claims, issues, or defenses of a *certified class* may be settled, voluntarily dismissed, or compromised only with the court's *approval.* The following procedures apply. . . .:
    - (1) The court *must direct notice in a reasonable manner* to all class members who would be bound by the proposal.
    - (2) If the proposal would bind class members, the court may approve it only after a *hearing* and on finding that it is *fair, reasonable, and adequate.* [ ]
    - (3) [In 23(b)(3) class actions], the court *may* refuse to approve a settlement unless it affords a *new opportunity to [opt out].*
- **Rule 23(h) – Attorney's Fees**

- In a certified class action, the court may award *reasonable* attorney's fees and nontaxable costs. . . .
- Procedural requirements:
  - A claim for an award *must be made by motion*. . . . *Notice* of the motion must be served on all parties and . . . directed to class members in a reasonable manner.
  - A class member, or a party from whom pmt is sought, *may object* to the motion.
  - The court may hold a hearing and must find facts and state its legal conclusion.

- **Requirements for SMJ in diversity cases under Class Action Fairness Act (CAFA) (28 U.S.C. § 1332(d)):**
  - (1) **More than $5 million** in controversy; **AND**
    - Need just 1 Π that satisfies the AIC
  - (2) **At least 100 plaintiffs**; **AND**
  - (3) **Minimal diversity** (one P and one D from different states); BUT
    - If at least 2/3 members of P class and primary D(s) reside in the state *where the action is filed*, district court *must* decline jurisdiction.
    - If more than 1/3 but less than 2/3 members of P class and the primary D reside in the state where the action is filed, district court *may* decline jurisdiction, based on list of factors listed in the statute.
  - Notes:
    - Just need to know the $5 million (AIC); 100 Π (numerosity); and minimal diversity
    - This statute is to make it easier to remove a class action to federal
    - Additional basis for SMJ
    - Diversity JDX over class action when
      - Minimal diversity (any Π diverse from any Δ) AND
      - Aggregated AIC over $5 million
    - Removal very common (when cases filed in state court)

**LA Notes**

- 3 main parts
  - (1) **Define the class**: who is in the class of persons bringing the suit? Has to be definite.
  - (2) **How class definition is met**: 23(a) Π files complaint and motion for class certification which defines class and specifies how she meets: (all of the below) (specify how the named party meets the requirements)
    - ***A1: Numeroisty***
      - How many people are we talking about?
      - Is it too complicated to use one of the joinder rules to add these potential class members individually?
      - Joinder impracticable
      - Guidelines (common law):
        - Under 25 → not good enough
        - Over 40 → is good
      - In regard to the class as a whole
    - ***A2: Commonality***
      - The action must raise questions of law or fact that are common to all of the case
      - Everyone needs to be similarly affected
      - In regard to the class as a whole
      - Until recently – very low threshold
      - Now – after Walmart – a little clearer
        - Ideally –there is one policy that links all the parties

            - The more that you can show they have in common the better
        - ***A3: Typicality*** **AND** – deals with the named party
            - The person who is names (usually listed as the Π) must be typical of the class
                - Someone who is going to be compelling
                - Allegation should be pretty similar to everyone else
                - Can't be outside of the norm that's typical of the class as a whole
                - Usually easy requirement to meet
            - Focus on the injuries of the named parties—the face of the lawsuit
        - ***A4: adequacy of representation*** – deals with the named party
            - Fairly and adequately represent the interest of the class
            - Can be no conflict of interest between the named party and the class
            - Attorney has to be looking out for the class as a whole
            - If you lose – you don't get to file the same lawsuit again
    - (3) **Type of class action**: 23(b) Types of Class Actions – must fit into at least one but might be more than one
        - (1) not allowing class action would prejudice Π, Δ, or absent parties
            - When there could be multiple lawsuits that could have different outcomes with inconsistent obligations (rule 19)
        - (2) Π class seeks only injunctive/ declaratory relief
            - Injunctive relief – you want something to happen – for the Δ to stop doing something or to start doing something
            - Most class actions are 23(b)(2)
        - (3) Damages action: Πs are seeking money
            - **Must** show:
                - Common question of law or fact predominate over individual questions **AND**
                - Main issue is something that everyone shares
                - Class action is superior to individual lawsuits
                - Best way to resolve it is through a class action
                - Other way to resolve is through individual suits
            - **Must** send notice and opt out provision to all members
                - Why would anyone take the opt out provision?
                - Not everyone wants to associated with Π
                - You have a stronger case on your own
- 23(e) all class members must be informed of an impending settlement
- **SMJ for Rule 23**
    - In ***federal question cases*** – all class members have some basis for SMJ
    - ***Diversity*** – for a class action litigation only consider citizenship of the named party
        - For AIC multiple Π cannot aggregate claims to reach AIC (same rule)
        - If one of the named parties meets the AIC then the court can exercise supplemental JDX and the others can tag along

## Rule 41—Voluntary and Involuntary Dismissals

**Voluntary Dismissal—Rule 41(a)**

- **Rule 41(a)(1) – Voluntary Dismissals**
    - (A) [T]he plaintiff may dismiss an action without a court order by filing: **OR**
        - a notice of dismissal before the opposing party serves *either an answer or a MSJ*;
        - a *stipulation of dismissal signed by all parties* who have appeared.

- (B) Unless the notice or stipulation states otherwise, the dismissal is *without prejudice.* But if the plaintiff previously dismissed [the same lawsuit], a notice of dismissal operates as an *adjudication on the merits*.
- ***41(a) voluntary dismissal: Π can voluntarily dismiss lawsuit if:***
  - All parties sign "stip of dismissal" or
  - Opposing party has not yet served answer
  - Otherwise need court approval
  - Only first voluntary dismissed w/o prejudice – can be refiled
    - If you file it twice – you wont be able to refile
    - w/o prejudice – you can bring it again
    - if dismissed w/ prejudice – you cant bring it again
- ***Notes***:
  - Can use this rule once
  - Once an answer of summary judgment is filed then this rule is not applicable

- **Rule 41(a)(2) – Voluntary DismissalsF**
  - Except as provided in Rule 41(a)(1), an action may be dismissed at the plaintiff's request only by court order, on terms that the court considers proper.

**Involuntary Dismissal—Rule 41(b)**

- **Rule 41(b) – Involuntary Dismissals**
  - If the plaintiff *fails to prosecute or to comply with these rules or a court order*, a defendant may move to *dismiss* the action or any claim against it. Unless the dismissal order states otherwise, a dismissal under this subdivision (b) and any dismissal not under this rule. . . operates as an adjudication on the merits.
  - **Notes**: This is someone who is not being a diligent Π's attorney
    - Failure to prosecute (Π doesn't show up) or
    - For violation of court order/ rules
    - **Rule 55: default deals with Δ's actions; when the Δ does nothing**
      - Δ fails to respond to complaint – 2 step process
        - Clerk enters default
        - Π requests default judgment
      - If social damages – Π automatically gets
      - If its harder to compute damages – there will be a hearing before the judge to decide
      - Award limited to complaint demand (rule 54C))
- **Rule 37(b)(2)(A) – Sanctions Failure to Comply w/Discovery Order**
  - If a party . . . fails to obey an order to provide or permit discovery, . . . the court . . . may [issue any of the following orders]:
    - (i) directing that the matters embraced in the order. . . be taken as established for purposes of the action, as the prevailing party claims;
    - (ii) prohibiting the disobedient party from supporting or opposing designated claims or defenses, . . . ;
    - (iii) striking pleadings in whole or in part;
    - (iv) staying further proceedings until the order is obeyed;
    - (v) dismissing the action in whole or in part;
    - (vi) rendering a default judgment against the disobedient party. . .

## Rule 56—Summary Judgment

- **Notes:**
  - ***12 (b)(6) v. Summary Judgment***
    - The facts in the complaint is just allegations, not proof, so you have to come up with admissible evidence to prove your case
  - ***Summary Judgment v. Trial***
    - SJ is controlled by the party filing the motion
      - Evidence is affidavits and depositions
    - Trial is controlled by all parties
      - Evidence is live witness testimony
      - Evidence must be admissible and cannot be hearsay—testifying to something you do not have personal knowledge of
  - SJ focuses on Π's claims or Δ's defenses
  - The person filing the motion figures out what elements they want to address
  - Goal: show the Π cannot prove that element
    - Offer own affirmative evidence or evidence of a lack of evidence

***Slaven v. City of Salem***

- Π's brother committed suicide while in city's police dept custody
- Π claims Π's brother said he was going to kill himself
- Π alleges that the city was on notice that they knew or should have known Π's brother was a suicidal risk
- *Π just needs to prove on SJ that a reasonable jury COULD find the evidence convincing not that they SHOULD
- Δ's argument = Δ has affidavits of the officer's testimony that Π does not have
- Π points out the disputed facts that when she visited him, she saw a belt that brother used to hang himself, but Δ claim they did not see a belt – this is not a material fact for the MSJ, but can be presented to the jury
- ***Holding***: Π has no evidence that the officer knew or should have known

***Celotox Corp v. Catrett***

- Asbestos case when Π's husband died
- Deceased connection to Celtox Corp is that he knows he was exposed, but does not know which company produced the asbestos that actually killed him
- Issue: proving the asbestos was a Celotox product
- In discovery Π says: there is no evidence that there is no evidence that Π can prove her evidence

- **Rule 56(a) – Summary Judgment (Standard for granting)**
  - The court shall grant summary judgment if the movant shows that there is *no genuine dispute as to any material fact* and the movant is *entitled to judgment as a matter of law*. The court should state on the record the reasons for granting or denying the motion.
- **Rule 56(c) – Summary Judgment (Procedures) – types of evidence you can rely on**
  - A party asserting that a fact cannot be or is genuinely disputed must support the assertion by:
    - (A) citing to particular parts of materials in the record, including depositions, documents, ESI, affidavits or declarations, stipulations . . . , admissions, interrogatory answers, or other materials; OR

        - (B) showing that the materials cited do not establish the absence or presence of a genuine dispute, or that an adverse party cannot produce admissible evidence to support the fact.
- **Summary Judgment: The Genuine Issue of Material Fact**
    - Moving party has burden of demonstrating that ***no*** *genuine issue of material fact* exists. Moving party must support motion with *admissible evidence*.
        - Can demonstrate no GIMF by showing *affirmative evidence* that *negates* an essential element of nonmoving party's claim
        - Can also demonstrate no GIMF by showing a *lack of evidence* to support the nonmoving party's case; must do more than claim lack of evidence [*Celotex*]
    - (2) Nonmoving party must show that a *genuine issue of material fact* does exist, notwithstanding the moving party's evidence. A *genuine* issue of a material fact exists if a *reasonable jury* could return a verdict for the nonmoving party. All reasonable inferences from the facts must be made in favor of the *nonmoving party*.
- **Rule 56(a)(2) – Summary Judgment or Partial SJ**
    - A party may move for summary judgment, identifying each claim or defense – or the part of each claim or defense – on which summary judgment is sought.
- **Rule 56(d) (Continuances)**
    - If a nonmovant shows by affidavit or declaration that, for specified reasons, it cannot present facts essential to justify its opposition, the court may:
        - (1) defer considering the motion or deny it;
        - (2) allow time to obtain affidavits or declarations or to take discovery; **or**
        - (3) issue any other appropriate order.

## Appeals

- **Notes**
    - Need to file an appeal within 30 days after the final judgment
    - Need to figure out when the clerk of the court enters the appeal, then the 30 day window opens
    - Need to show there is a prejudicial error and detrimental to the outcome of your case

***MacArthur v. University of Texas Health Center at Tyler***
Π abandoned two of her claims equal protection and title vii because she didn't present any evidence

- **Steps Necessary to Preserve the Right to Appeal**
    - ***When is an issue reviewable on appeal?***
        - (1) Was the error ***prejudicial*** or harmless?
            - [Was the affected party deprived of substantial justice?]
        - (2) Was the issue or error ***preserved below***?
            - [Did the affected party raise the issue before the trial court, so the trial court had an opportunity to "get it right" and thus avoid the erroneous ruling or verdict?]
        - (3) Was the issue or error ***presented above***?
            - [Did the affected party raise the issue or error in its appellate brief?]
    - ***Time for Appeal***
        - FRAP 3(a)(1): An appeal permitted by law *as of right* from a district court to a court of appeals may be taken only by filing a *notice of appeal* with the district clerk within the time allowed by Rule 4. [ ]
        - FRAP 4(a)(1): In a civil case. . . the notice of appeal required by Rule 3 must be filed with the district clerk within *30 days* after the judgment or order appealed from is entered.

- **The Final Judgment Rule (and Exceptions)**
  - ***28 U.S.C. § 1291 – Final Decisions***
    - The courts of appeals. . . shall have jurisdiction of appeals from all *final decisions* of the district courts of the United States. . . .
  - ***Standard for Appellate Review***
    - General Rule: No appeal before a *final judgment* is entered (§ 1291)
    - Exceptions to Final Judgment Rule:
      - Injunctions (§1292(a)(1))
      - Rule 23(f) (order re class action; ct of appeal has discretion to review)
      - Rule 54(b) (multiple claims or parties; district ct certifies)
      - Section 1292(b) (controlling/disputed issue of law; district ct certifies; ct of appeal has discretion to review);
      - Collateral Orders
      - Writs of Mandamus
  - ***28 U.S.C. § 1292 Injunctions***
    - (a) [T]he courts of appeals shall have jurisdiction of appeals from:
      - (1) Interlocutory orders of the district courts of the US. . . *granting, continuing, modifying, refusing or dissolving* ***injunctions****, or refusing to dissolve or modify* ***injunctions****. . . .*
    - Notes:
      - Have to show the court that would will be irreparably harmed if you did not get the injunction
      - Prove the irreparable harm will show that you need to have your case appealed NOW
      - Order granting or denying an injunction is immediately appealable, because congress says so
  - ***Rule 23(f) – Interlocutory Appeal of Class Certification Order***
    - A court of appeals ***may*** permit an appeal from an order *granting or denying class-action certification* under this rule if a petition for permission to appeal is filed with the circuit clerk within *14 days* after the order is entered. An appeal does not stay proceedings in the district court unless the district judge or the court of appeals so orders.
  - ***Rule 54(b)***
    - When an action presents *more than one claim for relief*. . . or when *multiple parties* are involved, the court ***may*** direct entry of a final judgment as to one or more, but fewer than all, claims or parties *only* if the court expressly determines that there is *no just reason for delay*.
    - Otherwise, any order or other decision. . . that adjudicates fewer than all the claims or the rights and liabilities or fewer than all the parties does not end the action. . . .

***In re Recticel Foam Corp***

- Puerto Rico hotel fire
- 2000 Π v. 200 Δs
- Court grants MSJ for Δs 1-150 – should the remaining Δs have to wait until the court makes a final judgment before they can appeal?
- Let the Π appeal now, and if it is not proper then you can bring them back in to the ongoing lawsuit, instead of having to refile
- It would be more efficient as this to this case to hear it now instead of waiting for the final judgment

- ***28 U.S.C. § 1292(b) Controlling/Disputed Questions of Law***
  - When a district judge, in making in a civil action an order not otherwise appealable under this section, shall be of the opinion that such order involves a *controlling question of law* as to which there is a *substantial ground for difference of opinion* and that an *immediate appeal* from the order may materially advance the ultimate termination of the litigation, he shall so state in writing such an order. The Court of Appeals. . . ***may*** thereupon, *in its discretion*, permit an appeal to be taken from such order. . . .

- **Section 1292(b): District and Appellate Courts are Dual Keymasters**
  - ***Section 1292(b): Two-Step Process***
    - 1) District judge must be convinced to issue an order finding the following:
      - (1) a *controlling question of law* as to which there is
      - (2) a *substantial ground for difference of opinion*; AND
      - (3) an *immediate appeal* reviewing the district court's decision on that issue "may materially advance the ultimate termination of the litigation," i.e., would be **efficient**.
    - 2) If the Court of Appeals agrees and *is willing* to review the issue certified in the order, it *may*, "in its discretion," permit an interlocutory appeal.
  - ***Collateral Order Doctrine***
    - 1) Order must resolve an important issue completely separate from the merits of the action [**Separability**];
    - 2) collateral order must be a "complete resolution of the [disputed] issue" [**Finality**];
    - 3) order must be effectively unreviewable on appeal from a final judgment [**Urgency**];
    - (4) issue must involve "important and unsettled question of controlling law" – doesn't come up routinely in every case [**Importance**].
  - ***All Writs Act 28 USC 1651(a)***
    - The Supreme Court and all courts established by Act of Congress may issue all writs necessary or appropriate in aid of their respective jurisdictions and agreeable to the usages and principles of law.
  - ***Writs of Mandamus***
    - 1) Writ of mandamus is the only adequate means to seek relief sought (risk of irreparable harm); AND
    - 2) Moving party must show that right to relief is "clear and undisputable" – district court did something clearly wrong.

## LA Notes

- 28 usc 1291: appeals court have jdx of appeals from all final decisions of the district court
  - There must be a final decision
  - Final judgment: one which ends the litigation on the merits and leave nothing for the court to do but exercise the judgment
- Exceptions
  - Interlocutory appeals: appeals before judgment: right now appeal. When you can appeal even when there is no judgment
  - **28 usc 1292 (a)(1): Injunctive relief—court tells someone to stop** doing something
    - When District Ct grants/ denies injunction
    - When whatever it is that you're appealing relates to an injunction—doesn't matter if the injunction is granted or denied

            - Either party win/lose can immediately ask the appellate court to look at it
    - **28 usc 1292(b) certified interlocutory appeal**
        - Elements
            - If the district court
                - Thinks interlocutory appeal will help end lawsuit
                - If you appeal on one COA –it will solve other COA
                - Issued decisions regarding controlling questions of law **AND**
                - Substantial ground for difference of opinion
        - Notes
            - Must be some question of law –deciding one way or another could end the lawsuit and they could go either way
            - Then the DC judge will write out an order and the party has 10 days to ask for appellate review. Now it's at the discretion at the appellate court to review—they don't have to
            - Rarely happens because DC has to admit they don't know what to do
            - In an essay—look at final judgment rule first then explain all exceptions
    - **FRCP 54(b) Partial final judgment**
        - If multiple Δ/ claims court can issue final judgment regarding part of the cause if there is no just reason to delay it
        - Party can immediately appeal
        - Notes:
            - Based on the merits of the case
    - **Collateral order doctrine**
        - Order by trial court that affects important right to collateral to (aside from) outcome of lawsuit
            - Aside from the major premise of the lawsuit
        - ***Collateral decision must (elements)***
            - Conclusively determine a dispute question
            - Resolve important issues separate from the merits of the case **AND**
            - Is unreviewable on appeal from final judgment
                - Can you undo what the Δ had done?
                - Example: you can undo money but cant undo a medical exam
            - Notes
                - Used when it is an extreme case
    - **Mandamus (Common law)**
        - Writ of mandamus commands govt officials to act
            - Ex: a state official; judge
        - Generally only in exceptional circumstances, but loophole allows when other exceptions wont work
        - Would have to be an important case before you move forward

## Claim Preclusion (aka Res Judicata)

- ***Notes***
    - They are a common law doctrine made by the courts
    - Similar to the compulsory counterclaim
    - Not in the FRCP but similar to Rule 13—compulsory counter claim
    - Applies to the Π
    - All related claims have to be brought within that lawsuit
    - 2 lawsuits, is the party bringing lawsuit 2 barred from bringing that lawsuit?

- ***Requirements***
  - (1) Applies only when the first judgment is valid, final, and on the merits
    - If it is dismissed w/o prejudice then no res judicata
  - (2) Parities in the second suit must be identical to parties in the first suit (with narrow exceptions).
    - Non-parties are not bound by the claim preclusion
    - Has to be the exact same parties
  - (3) Claim made in second suit must involve matters properly considered in the first suit; modern rule: same transaction of occurrence.
    - This is typically the thing in dispute
- ***Claim Preclusion Exceptions***
  - RJ/CP does not apply when the court that issued the first judgment would not have had SMJ over the claims asserted in the second action.
  - RJ/CP does not apply when the first judgment is procured by fraud.
  - Notes:
    - In the case above, they would've have been covered by supplemental jurisdiction if it was asserted in the original suit and the fed court would have discretion

***River Park, Inc. v. City of Highland Park***

- 1st Lawsuit: (Federal)
  - River Park, Inc. v. City of Highland Park
  - § 1983 - D.P.
- 2nd Lawsuit: (State)
  - Tortious Interference
  - Breach of Implied K
  - Abuse of Gov't Power

**Rule**: Pursuant to the transactional test, "separate claims will be considered the same cause of action for purpose of res judicata if they arise from a single group of operative facts, regardless of whether they assert different theories of relief." - River Park, Inc. v. City of Highland Park [Glannon 1209]

- Claim was ultimately barred b/c you bring them all at once or not at all.

**LA Notes**

- Claims that have been litigated cannot be litigated again
- **Rule**: A valid, final judgment on the merits precludes re-litigation of the same claim between the same parties
  - *Valid, final judgment*
    - Valid = appropriate SMJ and PJ
      - Tip: look for SMJ ( Δ may waive PJ)
        - If don’t immediately challenge PJ it means he consented to it
    - Final judgment: case over
      - One which ends the litigation on the merits and leaves noting for the court to do but execute the judgment
  - *On the merits*
    - When substance of the case decides the outcome – they had their day in court—wasn’t dismissed technically
    - If the Π wins –always decided on substance
      - Δ wills if technicality
    - Ex: something dismissed w/o prejudice = not on the merits
    - Includes default judgment and involuntary dismissals = on the merits
  - Same parties: look for exact same parties. Switching rolls = same parties

        - Cannot add or remove a party
    - Same claim: looks at whether these distinct claims are the consequence of a single act. The critical issue is where the 2 actions under consideration are based on the CNOF
        - CNOF = same claim
    - Hint: don't necessarily have to talk about in this order – could do same parties first, then same claim, then valid/ final

## Issue Preclusion (Collateral Estoppel)

- ***Notes***
    - They are a common law doctrine made by the courts
- When an issue of fact or law is actually litigated and determined by a valid and final judgment and the determination is essential to the judgment, the determination is conclusive in a subsequent action between the parties whether on the dame or different claim
- ***Basic Elements***
    - Issue in lawsuit #1 and #2 must be ***identical***;
    - Issue must have been ***actually litigated*** in lawsuit #1;
    - Issue must have been ***actually decided*** in lawsuit #1;
    - Determination of issue in lawsuit #1 must have been ***essential to the final judgment in lawsuit*** #1 [whether the second issue could have been decided without first issue]; and
    - ***Parties*** in lawsuits #1 and #2 must be ***the same*** or in privity with each other, but modern rule is generally that only the party to be bound must have been a party in both lawsuits, particularly when IP is being used defensively.
- ***Exceptions***
    - Issue preclusion will not be applied if the court determines that it would be unfair to do so:
        - No IP if party to be bound did not have ***full and fair opportunity*** to litigate in lawsuit #1
            - e.g. lawsuit #1 was for a negligible amount of money and therefore D did not have the incentive to litigate; future lawsuits against D raising same issue were unforeseeable
            - when the Δ is sued in an inconvenient forum; inconvenience to the Δ, or a party that is not a party to the first action
        - No IP if it would result in prejudice to the ***public interest*** or to others who were not a party to lawsuit #1.
            - Public Policy in Panniel is that if that is the case we wouldn't want people to fight in suit 1 to not want insurance coverage

***Panniel v. Diaz***

- Plaintiff was struck by an ambulance, foot injury/needs to have toes amputated
- Π makes claims for amputated toes and work carpel tunnel
- 1st Suit: PIP (Personal Injury Protection) Arbitration
    - Issue is whether the ambulance was the proximate cause of the toes being amputated
    - Prox Cause - YES
- 2nd Suit: Tort Suit - RWJ & Diaz
    - Π files second lawsuit in state court
    - Issue is whether the ambulance was the proximate cause of the toes being amputated
- Same question in both lawsuits: did the auto accident cause the Π to lose her toes

- Exception to issue preclusion applied: public interest → it would make the insurance company fight the arbitration because the court is worried they will be precluded from covering the insured in a state tort action—big incentive to fight coverage

***Cambria v. Jeffery***
- 1st Suit - Jeffery v. Cambria
  - Injuries + P.D.
  - Contributory negligence
  - Defendant wins because both P + D were negligent, therefore Cambria wins
- 2nd Suit - Cambria v. Jeffery
  - Jeffery asserts the doctrine of issue preclusion
- Why does issue preclusion not apply?
  - It is not essential to the final judgement (element 4 of issue preclusion)
  - The court could come out the same way without finding that both parties negligent

- ***Defensive v. Offensive***
  - *Defensive use of I.P.*
    - D seeks to prevent P from asserting a claim that the P has previously litigated and lost
      - D can raise IP even though D was not a party in first lawsuit.
      - D is using IP as a shield against the P.
  - *Offensive use of I.P.*
    - P seeks to foreclose the D from litigation an issue the D from litigating an issue the D has previously litigated and lost
      - trial court has discretion to determine whether mutuality should be required -- P may be able to raise IP even though P was not a party in the first lawsuit.
      - P is using IP as a sword against D.
- **HYPO 2**
  - Patent Infringement—Example of Defensive use of IP
  - 1st Suit: P (Apple) v. D (Samsung)
    - D claims that (1) no infringement (2) patent X invalid
    - Decided on (2) that the patent was not valid
  - 2nd Suit: P (Apple) v. D (Qualcomm)
    - Apple was the party to be bound
    - Apple had full and fair shot, and they only get one shot (they're like Eminem)
    - D is using IP as a shield against P Apple even though it was not a party in the same suit
  - *Cannot keep litigating the same issue and changing defendants
- **Issue to preclusion offensively against a D?**
  - Decision rests in discretion of the trial court:
    - If P could have easily joined in the earlier action and didn't, offensive IP should not be allowed.
    - If application of IP would be unfair to D, offensive IP should not be allowed.
      - Did D have an incentive to litigate the relevant issues in the first lawsuit?
      - Is the judgment relied on as a basis for estoppel inconsistent with other judgments in favor of D?
      - Are there procedural differences in the second action that may cause a different result (e.g., D forced to litigate in convenient forum in first action)?

**LA Notes**

- Issues that have been litigated cannot be litigated again
- Determines which issues have been decided in a previous litigation and cannot be litigated again
- **Rule**: When an issue of fact or law is actually litigated and determined by a valid, final judgment, and the determination is essential to the judgment, the determination is conclusive in a subsequent action between the parties
    - Issue:
        - Both lawsuits must involve the same issue (and law)
        - Usually the issue is clear
        - Similar issue not good enough – must be the exact same
    - Actually litigated and determined
        - Must be actual finding for the issue
        - Usually consider evidence presented
        - If you don't bring it up then its not going to be precluded
        - Default judgment not court
    - Valid, final judgment
        - Valid = appropriate SMJ and PJ
            - Tip: look for SMJ ( Δ may waive PJ)
                - If don't immediately challenge PJ it means he consented to it
        - Final judgment: case over
            - One which ends the litigation on the merits and leaves noting for the court to do but execute the judgment
    - Essential to the judgment
        - That issue was an issue during the case – not a random issue that wasn't a big deal during the case
        - Purpose of Collateral estoppel: parties have opportunity to fully litigate issues
        - Assume issues "essential to the judgment" fully litigated
        - Did parties have their day in court with regard to this issue?
    - Between the parties
        - Types of issue preclusion
            - Mutuality doctrine (same parties)
                - Exact same parties – same as res judicata
            - Non mutual (new party)
                - One of the parties is new
                - Defensive
                - Different Δ in each lawsuit
                - Δ is using it as a shield
                - The Δ in the second lawsuit can use issue preclusion as a shield defensively against the Π
                - Estoppel apples because Π had day in court
                - Offensive
                - Different Π in each lawsuit
                - Π is using it as a sword to attack
                - The Π in the second lawsuit can use issue preclusion as a sword to attack the Δ
                - Estoppel rarely applies because Π has not had day in court –lawsuit can go forward and be litigated